

## Singapore Banks

Sequencing of events, key debates and EPS cuts; stay neutral on the sector

The chain of events apparent post 1H results is as follows, 1) banks are prioritizing NII over NIM, led by volume growth, 2) most of this volume is coming in form of S\$ deposits as Singapore benefits from flows, 3) these deposits are being deployed mostly in low risk-weight assets at lower yields, 4) hence RWAg is relatively limited, and RoRWA is holding, 5) accordingly, excess CET1 is still driving payouts (regular, special and buybacks), 6) these are ultimately leading to stocks being driven by dividend yields and DY spreads to SORA, rather than PE or PB. Other aspects that matter to earnings and valuations include wealth management, asset quality and inorganic growth. As of now, WM is growing well (AuM, fees and net new money), AQ is holding and M&A seems to be on the back-burner. Considering these aspects, debates around the sector include, 1) PE and PB are close to highs, how low can DY go? 2) DY, buyback yield and BVPSg are not adding up to CoE amidst flat to down EPSg; hence what will drive the stocks from here? 3) DBS has outperformed UOB and OCBC by 28/26% in the last 1Y and by 15/11% YTD, how long can this premium expansion last? and 4) Is AQ risk as low as it appears to be priced in? We continue to believe DY spread can lead to DBS outperformance vs. UOB and OCBC since DPS guidance is in absolute terms and clear at the former, while it's not the case for the latter two. Yet, the risk of a disappointment from AQ deterioration and USD rally (via flows) cannot be ruled out in 2H25. Hence, we maintain Neutral on all three stocks, with continued relative preference for DBS over UOB.

- **DBS:** We are increasing our Jun-26 PT to S\$50.5 (from S\$48), following relative resilience in 2Q results. Our FY25E EPS is unchanged, and we adjust our FY26/27E EPS by -1%/+2% as we factor in lower NIM, but offset by lower costs and credit costs. The bank's hedges have helped manage NIM decline in 2Q, but could see risk in 3Q following lower exit NIM (1.98% in June, 1.95% in July). On the other hand, around S\$40bn net non-SGD (mostly USD) floating liabilities could provide support in the event of a Fed cut. We expect DBS to deliver consistent increases in total DPS to S\$3.06/3.30/3.48 in FY25/26/27E, with management effectively confirming a 6c increase in 4Q25 quarterly dividend, while guiding to the likelihood of another increase in 4Q26. The stock offers total yields of 6.9%-8.1% in FY25-27E (including buybacks), the highest in the sector.
- **OCBC:** We are reducing our Jun-26 PT to S\$17.5 (from S\$18), as we lower our FY25-26E EPS estimates by 2%, driven by lower NIM. We expect FY25 NIM of 1.92% vs. bank guidance of 1.9-1.95%, as we expect continued pass-through of lower SORA/HIBOR to the book. Guidance of low 40s CIR suggests likely cost increases in 2H. The bank has capacity to pay dividends with 15.3% fully phased-in CET1, and we expect OCBC to hold DPS at S\$1.01 for the next 3Y (in line with FY24, implying total payout of 60-63%). The stock offers 5.9% dividend yield, which is middle of the pack among the three banks.
- **UOB:** We are reducing our FY25-26E EPS estimates by 5%, largely driven by lower NIM forecasts; driving a lower Jun-26 PT of S\$36.5 (from S\$38). We

### APAC Banks

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**See page 26 for analyst certification and important disclosures, including non-US analyst disclosures.**

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expect FY25 NIM to average 1.87%, vs. guidance of 1.85-1.90%, with 2H NIM at 1.79% vs. 1.84% 2Q exit NIM. Management guidance is in line with expectations of a HIBOR rebound and modest decline in SORA (~1.7%), which could suggest downside if rates decline further. On the other hand, adjustments to UOB One Account could provide some offset. The bank is guiding to increasing GP buffers over the medium-term (from 80bps of performing loans to 90bps), and accordingly, we expect credit costs to remain elevated at 32/35bps in the next 2 quarters. We factor in 50% payout in 2026/27E, leading to the lowest dividend yield among Singapore banks (4.9%/5.4%).

Equity Ratings and Price Targets

| Company                    | Ticker  | Mkt Cap<br>(\$ mn) | Price<br>CCY | Price | Rating |      | Price Target |          |       |          |
|----------------------------|---------|--------------------|--------------|-------|--------|------|--------------|----------|-------|----------|
|                            |         |                    |              |       | Cur    | Prev | Cur          | End Date | Prev  | End Date |
| DBS Group Holdings         | DBS SP  | 109,813            | SGD          | 49.75 | N      | n/c  | 50.50        | Jun-26   | 48.00 | n/c      |
| OCBC Bank                  | OCBC SP | 59,756             | SGD          | 17.09 | N      | n/c  | 17.50        | Jun-26   | 18.00 | n/c      |
| United Overseas Bank (UOB) | UOB SP  | 46,247             | SGD          | 35.81 | N      | n/c  | 36.50        | Jun-26   | 38.00 | n/c      |

Source: Company data, Bloomberg Finance L.P., J.P. Morgan estimates. n/c = no change. All prices as of 07 Aug 25.

## Sequencing of events, key debates and EPS cuts; stay neutral on the sector

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Table 1: Singapore Banks: PT and rating changes

| Bank | Old rating | New rating | Old PT (\$) | New PT (\$) | Change in PT |
|------|------------|------------|-------------|-------------|--------------|
| DBS  | N          | N          | 48.0        | 50.5        | 5%           |
| OCBC | N          | N          | 18.0        | 17.5        | -3%          |
| UOB  | N          | N          | 38.0        | 36.5        | -4%          |

Source: J.P. Morgan estimates.

Table 2: Singapore Banks: Buyback and DPS expectations

| SG Banks yields                    | DBS         |             |             | OCBC        |             |             | UOB         |             |             |
|------------------------------------|-------------|-------------|-------------|-------------|-------------|-------------|-------------|-------------|-------------|
|                                    | 2025E       | 2026E       | 2027E       | 2025E       | 2026E       | 2027E       | 2025E       | 2026E       | 2027E       |
| Regular DPS                        | 2.46        | 2.70        | 2.88        | 0.81        | 0.82        | 0.85        | 1.76        | 1.95        | 2.15        |
| Special DPS                        | 0.60        | 0.60        | 0.60        | 0.20        | 0.21        | 0.20        | 0.25        | 0.25        | 0.25        |
| Total DPS                          | 3.06        | 3.30        | 3.48        | 1.01        | 1.03        | 1.05        | 2.01        | 2.20        | 2.40        |
| <b>Yield</b>                       |             |             |             |             |             |             |             |             |             |
| Regular                            | 4.9%        | 5.4%        | 5.8%        | 4.7%        | 4.8%        | 4.9%        | 4.9%        | 5.4%        | 6.0%        |
| Special                            | 1.2%        | 1.2%        | 1.2%        | 1.2%        | 1.3%        | 1.2%        | 0.7%        | 0.7%        | 0.7%        |
| Total                              | 6.2%        | 6.6%        | 7.0%        | 5.9%        | 6.0%        | 6.1%        | 5.6%        | 6.1%        | 6.7%        |
| <b>Payout</b>                      |             |             |             |             |             |             |             |             |             |
| Regular payout                     | 64%         | 69%         | 73%         | 50%         | 50%         | 50%         | 50%         | 53%         | 55%         |
| Regular + special payout           | 80%         | 85%         | 88%         | 62%         | 63%         | 62%         | 57%         | 60%         | 62%         |
| Regular + special + buyback payout | 94%         | 99%         | 102%        | 72%         | 72%         | 71%         | 68%         | 71%         | 72%         |
| Total buyback (\$\$ mn)            | 1,000       | 1,500       | 1,500       | 750         | 750         | 750         | 750         | 750         | 750         |
| Buyback amt. per share             | 0.36        | 0.54        | 0.54        | 0.17        | 0.17        | 0.17        | 0.45        | 0.46        | 0.46        |
| Yield on buyback                   | 0.7%        | 1.1%        | 1.1%        | 1.0%        | 1.0%        | 1.0%        | 1.3%        | 1.3%        | 1.3%        |
| <b>Total yields</b>                | <b>6.9%</b> | <b>7.7%</b> | <b>8.1%</b> | <b>6.9%</b> | <b>7.0%</b> | <b>7.2%</b> | <b>6.9%</b> | <b>7.4%</b> | <b>8.0%</b> |

Source: J.P. Morgan estimates, Bloomberg Finance L.P.

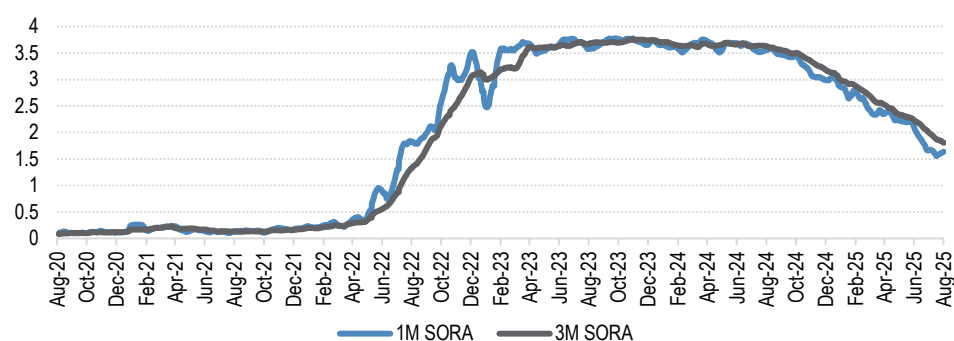
Table 3: Singapore banks: EPS revisions

| EPS            | EPSg y/y   |           |           | JPM vs Street |            |            | JPM revisions |            |           |
|----------------|------------|-----------|-----------|---------------|------------|------------|---------------|------------|-----------|
|                | 2025E      | 2026E     | 2027E     | 2025E         | 2026E      | 2027E      | 2025E         | 2026E      | 2027E     |
| DBS            | -2%        | 0%        | 5%        | 0%            | -3%        | -2%        | -1%           | -2%        | 1%        |
| OCBC           | -5%        | 0%        | 6%        | 0%            | -3%        | -1%        | -2%           | -2%        | 0%        |
| UOB            | -6%        | 4%        | 11%       | -5%           | -5%        | -2%        | -5%           | -5%        | 0%        |
| <b>Average</b> | <b>-4%</b> | <b>2%</b> | <b>7%</b> | <b>-2%</b>    | <b>-4%</b> | <b>-2%</b> | <b>-2%</b>    | <b>-3%</b> | <b>1%</b> |

Source: J.P. Morgan estimates, Bloomberg Finance L.P.

SORA continues to decline into 3Q

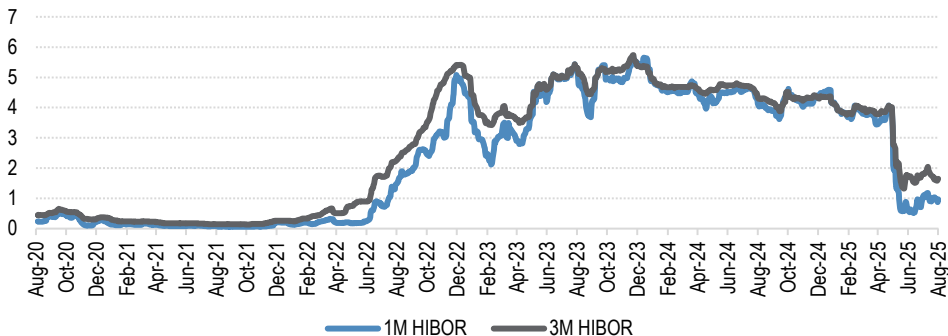
Figure 1: 3M SORA vs 1M SORA (%)



Source: Bloomberg Finance L.P.

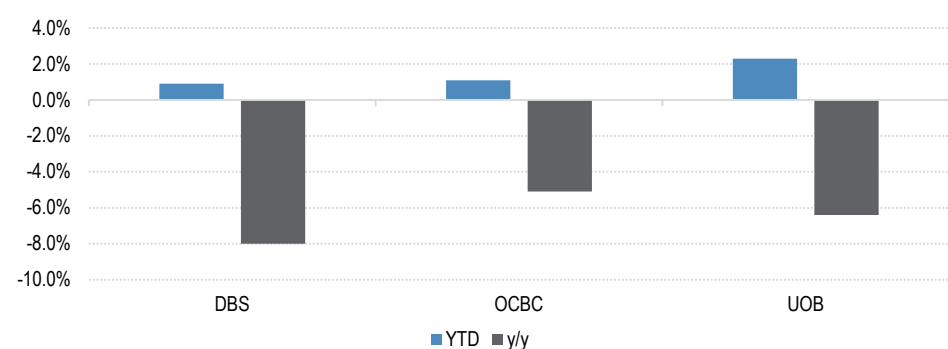
Sharp decline in HIBOR poses risks to  
3Q/4Q NIM for Singapore banks

Figure 2: 3M HIBOR vs 1M HIBOR



Source: Bloomberg Finance L.P.

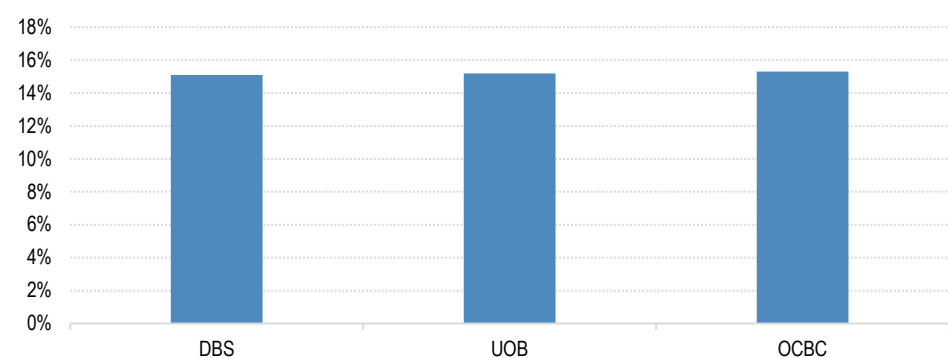
Figure 3: Singapore Banks: Risk weighted assets growth as of 2Q25



Source: Company reports.

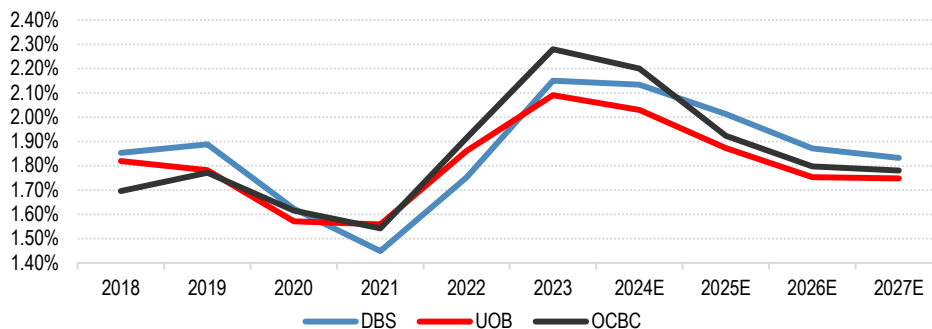
OCBC has the highest fully phased CET1  
ratio among peers

Table 4: Singapore Banks: Fully phased in CET1 ratio as of 2Q25



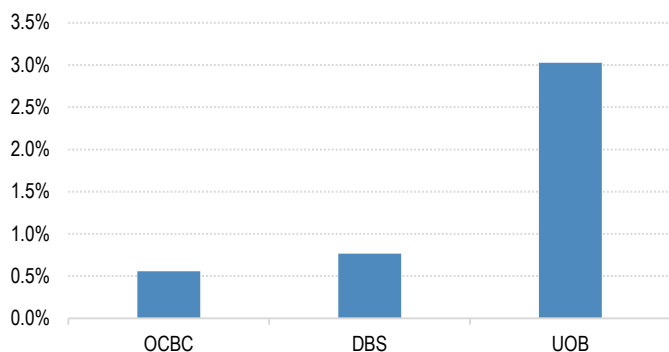
Source: Company reports.

Figure 4: Singapore Banks: NIM



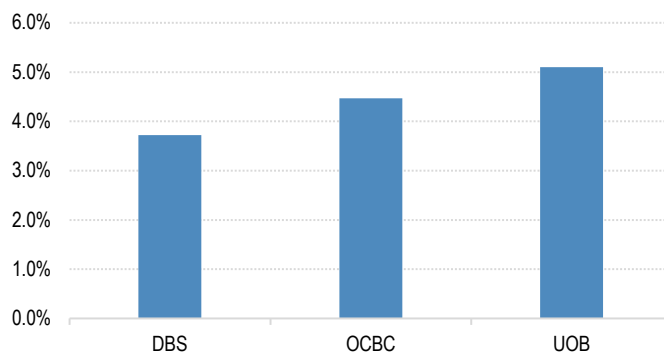
Source: Company reports and J.P. Morgan estimates.

Figure 5: Singapore Banks: EPS CAGR (2024-27E)



Source: Company reports and J.P. Morgan estimates.

Figure 6: Singapore Banks: BVPS CAGR (2024-27E)



Source: Company reports and J.P. Morgan estimates.

Table 5: Singapore Banks: Valuation

| Bank   | Price (\$) | Rating | PT (\$) | PE (x) |       |       | PB (x) |       |       | Dividend Yield (%) |       |       | RoE (%) |       |       |
|--------|------------|--------|---------|--------|-------|-------|--------|-------|-------|--------------------|-------|-------|---------|-------|-------|
|        |            |        |         | 2025E  | 2026E | 2027E | 2025E  | 2026E | 2027E | 2025E              | 2026E | 2027E | 2025E   | 2026E | 2027E |
| DBS    | 49.75      | N      | 50.50   | 12.8   | 12.8  | 12.2  | 2.04   | 1.94  | 1.91  | 6.2                | 6.6   | 7.0   | 16.2    | 15.4  | 15.6  |
| OCBC   | 17.09      | N      | 17.50   | 10.7   | 10.7  | 10.1  | 1.28   | 1.23  | 1.17  | 5.9                | 5.9   | 5.9   | 12.2    | 11.7  | 11.9  |
| UOB    | 35.81      | N      | 36.50   | 10.7   | 10.2  | 9.2   | 1.23   | 1.17  | 1.10  | 5.4                | 4.9   | 5.4   | 11.7    | 11.7  | 12.3  |
| Sector |            |        |         | 12.1   | 12.1  | 11.3  | 1.80   | 1.71  | 1.67  | 5.9                | 6.1   | 6.5   | 14.9    | 14.3  | 14.6  |

Source: J.P. Morgan estimates, Bloomberg Finance L.P. Note: Last priced as of 7<sup>th</sup> August, 2025.

## Neutral

### DBSM.SI, DBS SP

Price (07 Aug 25): S\$49.75

▲ **Price Target (Jun-26): S\$50.50**

Prior (Jun-26): S\$48.00

### APAC Banks

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### Quarterly Forecasts (FYE Dec)

Adj. EPS (\$)

|    | 2024A | 2025E | 2026E |
|----|-------|-------|-------|
| Q1 | 1.04  | 1.02A |       |
| Q2 | 0.98  | 1.00A |       |
| Q3 | 1.06  | 0.95  |       |
| Q4 | 0.89  | 0.87  |       |
| FY | 3.97  | 3.85  | 3.82  |

### Style Exposure

| Quant Factors | Current %Rank | Hist %Rank (1=Top) |    |    |    |
|---------------|---------------|--------------------|----|----|----|
|               |               | 6M                 | 1Y | 3Y | 5Y |
| Value         | 10            | 7                  | 10 | 13 | 13 |
| Growth        | 22            | 7                  | 29 | 26 | 82 |
| Momentum      | 22            | 10                 | 4  | 60 | 63 |
| Quality       | 7             | 1                  | 4  | 29 | 32 |
| Low Vol       | 54            | 13                 | 10 | 51 | 10 |
| ESGQ          | 87            | 87                 | 24 | 15 | 90 |

## DBS Group Holdings

### Best-in-class, resilient and at a premium

We are increasing our Jun-26 PT to S\$50.5 (from S\$48), following relative resilience in 2Q results. Our FY25E EPS is unchanged, and we adjust our FY26/27E EPS by -1%/+2% as we factor in lower NIM, but offset by lower costs and credit costs. The bank's hedges have helped manage NIM decline in 2Q, but could see risk in 3Q following lower exit NIM (1.98% in June, 1.95% in July). On the other hand, around S\$40bn net non-SGD (mostly USD) floating liabilities could provide support in the event of a Fed cut. We expect DBS to deliver consistent increases in total DPS to S\$3.06/3.30/3.48 in FY25/26/27E, with management effectively confirming a 6c increase in 4Q25 quarterly dividend, while guiding to the likelihood of another increase in 4Q26. The stock offers total yields of 6.9%-8.1% in FY25-27E (including buybacks), the highest in the sector.

## Valuation

Table 6: DBS: Valuation

|                      | Core Net<br>(\$\$ mn) | Core EPS<br>(\$\$) | P/E<br>(x)                 | BVPS<br>(\$\$) | P/B<br>(x)         | Dividend<br>(\$\$) | Div Yld<br>(%)           | Core RoA<br>(%) | Core RoRWA<br>(%) | Core RoE<br>(%) |
|----------------------|-----------------------|--------------------|----------------------------|----------------|--------------------|--------------------|--------------------------|-----------------|-------------------|-----------------|
| 2021                 | 6,801                 | 2.41               | 20.6                       | 19.5           | 2.55               | 1.09               | 2.2%                     | 1.01%           | 2.02%             | 12.6%           |
| 2022                 | 8,193                 | 2.89               | 17.2                       | 19.2           | 2.58               | 1.82               | 3.7%                     | 1.13%           | 2.35%             | 14.8%           |
| 2023                 | 10,286                | 3.63               | 13.7                       | 21.0           | 2.37               | 1.75               | 3.5%                     | 1.38%           | 2.85%             | 17.9%           |
| 2024                 | 11,408                | 4.01               | 12.4                       | 23.4           | 2.13               | 2.22               | 4.5%                     | 1.45%           | 3.14%             | 18.0%           |
| 2025E                | 10,984                | 3.89               | 12.8                       | 24.4           | 2.04               | 3.06               | 6.2%                     | 1.29%           | 2.98%             | 16.2%           |
| 2026E                | 10,817                | 3.86               | 12.9                       | 25.7           | 1.94               | 3.30               | 6.6%                     | 1.22%           | 2.78%             | 15.4%           |
| 2027E                | 11,215                | 4.05               | 12.3                       | 26.1           | 1.91               | 3.48               | 7.0%                     | 1.22%           | 2.74%             | 15.6%           |
|                      |                       |                    |                            |                |                    |                    |                          |                 |                   |                 |
| Price (\$\$)         |                       | 49.75              | Number of shares (mn)      |                |                    | 2,837              | Market Cap (\$\$ mn)     |                 |                   | 141,144         |
| Normalised RoE       |                       | PB based Valuation |                            |                | PE based Valuation |                    |                          |                 |                   |                 |
| NIM (on avg. assets) |                       | 1.61%              | Risk-free rate             |                |                    | 4.20%              | Fair PE                  |                 |                   | 12.1x           |
| Non-IR/revenues      |                       | 39.7%              | Cost of capital            |                |                    | 9.2%               | 12m Rolling EPS          |                 |                   | \$S3.87         |
| Cost/income          |                       | 40.7%              | Long term growth           |                |                    | 2.00%              | PE based Fair Value      |                 |                   | \$S46.9         |
| Operating RoA        |                       | 1.59%              | Fair PB                    |                |                    | 1.89x              | Implied Value of Growth  |                 |                   |                 |
| LLP/Loans            |                       | -0.20%             | PV of Terminal Value       |                |                    | \$S43.3            | 12m Rolling EPS          |                 |                   | \$S3.87         |
| Net RoAA             |                       | 1.24%              | PV of Dividends            |                |                    | \$S2.9             | Capitalized Value (\$\$) |                 |                   | \$42.1          |
| Equity/Assets        |                       | 8.0%               | PV of today's Fair Value   |                |                    | \$S46.2            | Value of Growth (\$\$)   |                 |                   | \$7.6           |
| Normalised RoE       |                       | 15.6%              | PB based Jun-26 Fair Value |                |                    | \$S50.5            | Attributable to Growth   |                 |                   | 15.4%           |

Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Sources for: Style Exposure – J.P. Morgan Quantitative and Derivatives Strategy; all other tables are company data and J.P. Morgan estimates.

## Annual forecasts

Table 7: DBS: Annual P&L

| S\$ in mn                  | 2015          | 2016          | 2017          | 2018          | 2019          | 2020          | 2021          | 2022          | 2023          | 2024          | 2025E         | 2026E         | 2027E         |
|----------------------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|
| Interest Income            | 9,644         | 9,748         | 10,833        | 13,798        | 15,592        | 12,208        | 10,185        | 15,927        | 27,862        | 30,927        | 28,302        | 27,208        | 27,317        |
| Interest Expense           | (2,544)       | (2,443)       | (3,042)       | (4,843)       | (5,967)       | (3,132)       | (1,745)       | (4,986)       | (14,220)      | (16,503)      | (13,894)      | (13,166)      | (12,990)      |
| <b>Net Interest Income</b> | <b>7,100</b>  | <b>7,305</b>  | <b>7,791</b>  | <b>8,955</b>  | <b>9,625</b>  | <b>9,076</b>  | <b>8,440</b>  | <b>10,941</b> | <b>13,642</b> | <b>14,424</b> | <b>14,408</b> | <b>14,042</b> | <b>14,327</b> |
| <b>Non-Interest Income</b> | <b>3,687</b>  | <b>4,184</b>  | <b>4,133</b>  | <b>4,137</b>  | <b>4,919</b>  | <b>5,516</b>  | <b>5,857</b>  | <b>5,768</b>  | <b>6,752</b>  | <b>8,123</b>  | <b>8,761</b>  | <b>9,397</b>  | <b>9,982</b>  |
| Net Fee income             | 2,144         | 2,331         | 2,622         | 2,780         | 3,052         | 3,058         | 3,524         | 3,091         | 3,384         | 4,168         | 4,752         | 5,227         | 5,645         |
| Trading income             | 1,204         | 1,357         | 1,058         | 1,178         | 1,459         | 1,405         | 1,791         | 2,313         | 1,369         | 1,541         | 1,572         | 1,635         | 1,700         |
| Other operating income     | 339           | 496           | 453           | 179           | 408           | 1,053         | 542           | 364           | 1,999         | 2,414         | 2,438         | 2,536         | 2,637         |
| <b>Total Revenues</b>      | <b>10,787</b> | <b>11,489</b> | <b>11,924</b> | <b>13,092</b> | <b>14,544</b> | <b>14,592</b> | <b>14,297</b> | <b>16,709</b> | <b>20,394</b> | <b>22,547</b> | <b>23,169</b> | <b>23,439</b> | <b>24,309</b> |
| Costs                      | (4,900)       | (4,972)       | (5,130)       | (5,798)       | (6,258)       | (6,158)       | (6,469)       | (7,090)       | (8,056)       | (8,895)       | (9,274)       | (9,615)       | (9,970)       |
| <b>PPOP</b>                | <b>5,887</b>  | <b>6,517</b>  | <b>6,794</b>  | <b>7,294</b>  | <b>8,286</b>  | <b>8,434</b>  | <b>7,828</b>  | <b>9,619</b>  | <b>12,338</b> | <b>13,652</b> | <b>13,896</b> | <b>13,823</b> | <b>14,339</b> |
| Loan loss provisions       | (672)         | (1,395)       | (1,879)       | (708)         | (704)         | (3,063)       | (51)          | (234)         | (591)         | (623)         | (807)         | (939)         | (984)         |
| Other provisions           | (71)          | (39)          | (15)          | (2)           | 1             | (3)           | (1)           | (3)           | (8)           | (22)          | (11)          | (6)           | (3)           |
| Other income               | 14            | 0             | 0             | 0             | 0             | 0             | 0             | 0             | 0             | 0             | 0             | 0             | 0             |
| <b>Pre-Tax</b>             | <b>5,158</b>  | <b>5,083</b>  | <b>4,900</b>  | <b>6,584</b>  | <b>7,583</b>  | <b>5,368</b>  | <b>7,776</b>  | <b>9,382</b>  | <b>11,739</b> | <b>13,007</b> | <b>13,077</b> | <b>12,878</b> | <b>13,352</b> |
| Tax                        | (727)         | (723)         | (727)         | (974)         | (1,116)       | (612)         | (973)         | (1,188)       | (1,452)       | (1,598)       | (2,092)       | (2,061)       | (2,136)       |
| MI & EO                    | (113)         | (122)         | (133)         | (76)          | (38)          | (35)          | (2)           | (1)           | (1)           | (1)           | (1)           | (1)           | (1)           |
| <b>Core profit</b>         | <b>4,318</b>  | <b>4,238</b>  | <b>4,040</b>  | <b>5,534</b>  | <b>6,429</b>  | <b>4,721</b>  | <b>6,801</b>  | <b>8,193</b>  | <b>10,286</b> | <b>11,408</b> | <b>10,984</b> | <b>10,817</b> | <b>11,215</b> |
| <b>Attributable profit</b> | <b>4,454</b>  | <b>4,238</b>  | <b>4,371</b>  | <b>5,577</b>  | <b>6,391</b>  | <b>4,721</b>  | <b>6,801</b>  | <b>8,193</b>  | <b>10,062</b> | <b>11,289</b> | <b>10,884</b> | <b>10,717</b> | <b>11,115</b> |

Source: Company reports and J.P. Morgan estimates.

Table 8: DBS: Annual DuPont

|                            | 2015         | 2016         | 2017         | 2018         | 2019         | 2020         | 2021         | 2022         | 2023         | 2024         | 2025E        | 2026E        | 2027E        |
|----------------------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|
| <b>NIM (% of avg. IEA)</b> | <b>1.77%</b> | <b>1.80%</b> | <b>1.75%</b> | <b>1.85%</b> | <b>1.89%</b> | <b>1.62%</b> | <b>1.45%</b> | <b>1.75%</b> | <b>2.15%</b> | <b>2.13%</b> | <b>2.01%</b> | <b>1.87%</b> | <b>1.83%</b> |
| IEA/Assets                 | 89.5%        | 86.6%        | 89.1%        | 90.5%        | 90.2%        | 91.0%        | 87.2%        | 87.4%        | 85.6%        | 86.3%        | 84.5%        | 84.8%        | 84.9%        |
| Margins (% of avg. Assets) | 1.58%        | 1.56%        | 1.56%        | 1.68%        | 1.70%        | 1.48%        | 1.26%        | 1.53%        | 1.84%        | 1.84%        | 1.70%        | 1.59%        | 1.56%        |
| Non-IR contribution        | 34.2%        | 36.4%        | 34.7%        | 31.6%        | 33.8%        | 37.8%        | 41.0%        | 34.5%        | 33.1%        | 36.0%        | 37.8%        | 40.1%        | 41.1%        |
| Non-IR/Avg. Assets         | 0.82%        | 0.89%        | 0.83%        | 0.77%        | 0.87%        | 0.90%        | 0.88%        | 0.81%        | 0.91%        | 1.04%        | 1.03%        | 1.06%        | 1.08%        |
| <b>Revenue/Assets</b>      | <b>2.40%</b> | <b>2.45%</b> | <b>2.39%</b> | <b>2.45%</b> | <b>2.57%</b> | <b>2.37%</b> | <b>2.14%</b> | <b>2.34%</b> | <b>2.75%</b> | <b>2.88%</b> | <b>2.74%</b> | <b>2.65%</b> | <b>2.64%</b> |
| Cost/Income                | 45.4%        | 43.3%        | 43.0%        | 44.3%        | 43.0%        | 42.2%        | 45.2%        | 42.4%        | 39.5%        | 39.5%        | 40.0%        | 41.0%        | 41.0%        |
| C/Assets                   | 1.09%        | 1.06%        | 1.03%        | 1.09%        | 1.11%        | 1.00%        | 0.97%        | 0.99%        | 1.09%        | 1.14%        | 1.09%        | 1.09%        | 1.08%        |
| <b>Pre-Provision ROA</b>   | <b>1.31%</b> | <b>1.39%</b> | <b>1.36%</b> | <b>1.37%</b> | <b>1.47%</b> | <b>1.37%</b> | <b>1.17%</b> | <b>1.35%</b> | <b>1.66%</b> | <b>1.74%</b> | <b>1.64%</b> | <b>1.56%</b> | <b>1.56%</b> |
| LLP/Loans                  | -0.24%       | -0.47%       | -0.59%       | -0.21%       | -0.20%       | -0.83%       | -0.01%       | -0.06%       | -0.14%       | -0.15%       | -0.18%       | -0.20%       | -0.20%       |
| Loan/Assets                | 63.0%        | 63.0%        | 63.4%        | 63.4%        | 63.0%        | 60.2%        | 59.3%        | 58.4%        | 56.8%        | 54.8%        | 52.2%        | 51.9%        | 52.2%        |
| Other Income/Assets        | -0.01%       | -0.01%       | 0.00%        | 0.00%        | 0.00%        | 0.00%        | 0.00%        | 0.00%        | 0.00%        | 0.00%        | 0.00%        | 0.00%        | 0.00%        |
| Operating ROA              | 1.15%        | 1.08%        | 0.98%        | 1.23%        | 1.34%        | 0.87%        | 1.16%        | 1.31%        | 1.58%        | 1.66%        | 1.54%        | 1.46%        | 1.45%        |
| Pre-Tax ROA                | 1.15%        | 1.08%        | 0.98%        | 1.23%        | 1.34%        | 0.87%        | 1.16%        | 1.31%        | 1.58%        | 1.66%        | 1.54%        | 1.46%        | 1.45%        |
| Tax Rate                   | -14.1%       | -14.2%       | -14.8%       | -14.8%       | -14.7%       | -11.4%       | -12.5%       | -12.7%       | -12.4%       | -12.3%       | -16.0%       | -16.0%       | -16.0%       |
| Minorities & Outside Int.  | -0.03%       | -0.03%       | -0.03%       | -0.01%       | -0.01%       | -0.01%       | 0.00%        | 0.00%        | 0.00%        | 0.00%        | 0.00%        | 0.00%        | 0.00%        |
| <b>ROA</b>                 | <b>0.99%</b> | <b>0.89%</b> | <b>0.86%</b> | <b>1.03%</b> | <b>1.12%</b> | <b>0.75%</b> | <b>1.01%</b> | <b>1.13%</b> | <b>1.35%</b> | <b>1.43%</b> | <b>1.28%</b> | <b>1.21%</b> | <b>1.21%</b> |
| <b>RoRWA</b>               | <b>1.66%</b> | <b>1.52%</b> | <b>1.52%</b> | <b>1.90%</b> | <b>2.13%</b> | <b>1.47%</b> | <b>2.02%</b> | <b>2.35%</b> | <b>2.79%</b> | <b>3.11%</b> | <b>2.95%</b> | <b>2.75%</b> | <b>2.71%</b> |
| Equity/Assets              | 8.51%        | 8.77%        | 8.85%        | 8.60%        | 8.43%        | 8.15%        | 7.96%        | 7.67%        | 7.70%        | 8.05%        | 7.99%        | 7.94%        | 7.80%        |
| <b>ROE</b>                 | <b>11.6%</b> | <b>10.2%</b> | <b>9.7%</b>  | <b>12.0%</b> | <b>13.3%</b> | <b>9.2%</b>  | <b>12.6%</b> | <b>14.8%</b> | <b>17.5%</b> | <b>17.8%</b> | <b>16.0%</b> | <b>15.3%</b> | <b>15.5%</b> |

Source: Company reports and J.P. Morgan estimates.

## Quarterly forecasts

Table 9: DBS: Quarterly P&L

| S\$ in mn                  | 1Q23         | 2Q23         | 3Q23         | 4Q23         | 1Q24         | 2Q24         | 3Q24         | 4Q24         | 1Q25         | 2Q25         | 3Q25E        | 4Q25E        |
|----------------------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|
| Interest Income            | 6,250        | 6,978        | 7,254        | 7,380        | 7,726        | 7,741        | 7,713        | 7,747        | 7,454        | 7,087        | 6,879        | 6,882        |
| Interest Expense           | (2,979)      | (3,545)      | (3,750)      | (3,946)      | (4,221)      | (4,147)      | (4,116)      | (4,019)      | (3,773)      | (3,439)      | (3,365)      | (3,317)      |
| <b>Net Interest Income</b> | <b>3,271</b> | <b>3,433</b> | <b>3,504</b> | <b>3,434</b> | <b>3,505</b> | <b>3,594</b> | <b>3,597</b> | <b>3,728</b> | <b>3,681</b> | <b>3,648</b> | <b>3,514</b> | <b>3,565</b> |
| <b>Non-Interest Income</b> | <b>1,728</b> | <b>1,654</b> | <b>1,750</b> | <b>1,620</b> | <b>2,103</b> | <b>1,951</b> | <b>2,222</b> | <b>1,847</b> | <b>2,301</b> | <b>2,149</b> | <b>2,188</b> | <b>2,124</b> |
| Net Fee income             | 851          | 823          | 843          | 867          | 1,043        | 1,048        | 1,109        | 968          | 1,275        | 1,167        | 1,214        | 1,096        |
| Trading income             | 382          | 325          | 346          | 316          | 388          | 362          | 530          | 261          | 401          | 395          | 375          | 401          |
| Other operating income     | 495          | 506          | 561          | 437          | 672          | 541          | 583          | 618          | 625          | 587          | 599          | 627          |
| <b>Total Revenues</b>      | <b>4,999</b> | <b>5,087</b> | <b>5,254</b> | <b>5,054</b> | <b>5,608</b> | <b>5,545</b> | <b>5,819</b> | <b>5,575</b> | <b>5,982</b> | <b>5,797</b> | <b>5,701</b> | <b>5,689</b> |
| Costs                      | (1,882)      | (1,931)      | (2,038)      | (2,205)      | (2,079)      | (2,172)      | (2,249)      | (2,395)      | (2,214)      | (2,270)      | (2,323)      | (2,467)      |
| <b>PPOP</b>                | <b>3,117</b> | <b>3,156</b> | <b>3,216</b> | <b>2,849</b> | <b>3,529</b> | <b>3,373</b> | <b>3,570</b> | <b>3,180</b> | <b>3,768</b> | <b>3,527</b> | <b>3,378</b> | <b>3,222</b> |
| Loan loss provisions       | (161)        | (60)         | (215)        | (155)        | (135)        | (128)        | (130)        | (230)        | (325)        | (130)        | (178)        | (175)        |
| Other provisions           | 0            | (12)         | 0            | 4            | 0            | (32)         | (6)          | 16           | (6)          | (9)          | 0            | 4            |
| Other income               | 0            | 0            | 0            | 0            | 0            | 0            | 0            | 0            | 0            | 0            | 0            | 0            |
| <b>Pre-Tax</b>             | <b>2,956</b> | <b>3,084</b> | <b>3,001</b> | <b>2,698</b> | <b>3,394</b> | <b>3,213</b> | <b>3,434</b> | <b>2,966</b> | <b>3,437</b> | <b>3,388</b> | <b>3,201</b> | <b>3,051</b> |
| Tax                        | (379)        | (399)        | (373)        | (301)        | (432)        | (416)        | (414)        | (336)        | (531)        | (573)        | (512)        | (476)        |
| MI and EO                  | (6)          | 5            | 5            | (5)          | (6)          | 6            | 7            | (8)          | (9)          | 9            | 9            | (10)         |
| <b>Core profit</b>         | <b>2,571</b> | <b>2,690</b> | <b>2,633</b> | <b>2,392</b> | <b>2,956</b> | <b>2,803</b> | <b>3,027</b> | <b>2,622</b> | <b>2,897</b> | <b>2,824</b> | <b>2,697</b> | <b>2,565</b> |
| <b>Attributable profit</b> | <b>2,571</b> | <b>2,630</b> | <b>2,593</b> | <b>2,268</b> | <b>2,951</b> | <b>2,789</b> | <b>3,027</b> | <b>2,522</b> | <b>2,897</b> | <b>2,824</b> | <b>2,697</b> | <b>2,465</b> |

Source: Company reports and J.P. Morgan estimates.

Table 10: DBS: Quarterly DuPont

|                            | 1Q23         | 2Q23         | 3Q23         | 4Q23         | 1Q24         | 2Q24         | 3Q24         | 4Q24         | 1Q25         | 2Q25         | 3Q25E        | 4Q25E        |
|----------------------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|
| <b>NIM (% of avg. IEA)</b> | <b>2.12%</b> | <b>2.16%</b> | <b>2.19%</b> | <b>2.13%</b> | <b>2.14%</b> | <b>2.14%</b> | <b>2.11%</b> | <b>2.15%</b> | <b>2.12%</b> | <b>2.05%</b> | <b>1.93%</b> | <b>1.93%</b> |
| IEA/Assets                 | 83.9%        | 84.9%        | 84.7%        | 86.2%        | 86.7%        | 86.0%        | 85.9%        | 85.3%        | 83.6%        | 85.0%        | 85.3%        | 85.2%        |
| Margins (% of avg. Ass)    | 1.78%        | 1.83%        | 1.85%        | 1.84%        | 1.85%        | 1.84%        | 1.81%        | 1.83%        | 1.77%        | 1.74%        | 1.64%        | 1.64%        |
| Non-IR contribution        | 34.6%        | 32.5%        | 33.3%        | 32.1%        | 37.5%        | 35.2%        | 38.2%        | 33.1%        | 38.5%        | 37.1%        | 38.4%        | 37.3%        |
| Non-IR/Avg. Assets         | 0.93%        | 0.88%        | 0.93%        | 0.87%        | 1.11%        | 0.99%        | 1.13%        | 0.91%        | 1.10%        | 1.02%        | 1.03%        | 0.99%        |
| <b>Revenue/Assets</b>      | <b>2.69%</b> | <b>2.71%</b> | <b>2.80%</b> | <b>2.72%</b> | <b>2.95%</b> | <b>2.82%</b> | <b>2.95%</b> | <b>2.76%</b> | <b>2.87%</b> | <b>2.76%</b> | <b>2.69%</b> | <b>2.65%</b> |
| Cost/Income                | 37.6%        | 38.0%        | 38.8%        | 43.6%        | 37.1%        | 39.2%        | 38.6%        | 43.0%        | 37.0%        | 39.2%        | 40.7%        | 43.4%        |
| C/Assets                   | 1.01%        | 1.03%        | 1.08%        | 1.19%        | 1.09%        | 1.10%        | 1.14%        | 1.19%        | 1.06%        | 1.08%        | 1.10%        | 1.15%        |
| <b>Pre-Provision ROA</b>   | <b>1.7%</b>  | <b>1.7%</b>  | <b>1.7%</b>  | <b>1.5%</b>  | <b>1.9%</b>  | <b>1.7%</b>  | <b>1.8%</b>  | <b>1.6%</b>  | <b>1.8%</b>  | <b>1.7%</b>  | <b>1.6%</b>  | <b>1.5%</b>  |
| LLP/Loans                  | -0.15%       | -0.06%       | -0.20%       | -0.15%       | -0.13%       | -0.12%       | -0.12%       | -0.21%       | -0.30%       | -0.12%       | -0.16%       | -0.16%       |
| Loan/Assets                | 56.7%        | 56.2%        | 56.4%        | 57.1%        | 56.0%        | 54.8%        | 54.1%        | 53.2%        | 52.7%        | 52.4%        | 52.1%        | 51.9%        |
| Other Income/Assets        | 0.00%        | -0.01%       | 0.00%        | 0.00%        | 0.00%        | -0.02%       | 0.00%        | 0.01%        | 0.00%        | 0.00%        | 0.00%        | 0.00%        |
| Operating ROA              | 1.59%        | 1.65%        | 1.60%        | 1.45%        | 1.78%        | 1.65%        | 1.74%        | 1.46%        | 1.65%        | 1.62%        | 1.51%        | 1.42%        |
| Pre-Tax ROA                | 1.59%        | 1.64%        | 1.60%        | 1.45%        | 1.78%        | 1.63%        | 1.74%        | 1.47%        | 1.65%        | 1.61%        | 1.51%        | 1.42%        |
| Tax Rate                   | -12.8%       | -12.9%       | -12.4%       | -11.2%       | -12.7%       | -13.0%       | -12.1%       | -11.3%       | -15.4%       | -16.9%       | -16.0%       | -15.6%       |
| Minorities & Outside Int   | 0.00%        | 0.00%        | 0.00%        | 0.00%        | 0.00%        | 0.00%        | 0.00%        | 0.00%        | 0.00%        | 0.00%        | 0.00%        | 0.00%        |
| <b>ROA</b>                 | <b>1.38%</b> | <b>1.40%</b> | <b>1.38%</b> | <b>1.22%</b> | <b>1.55%</b> | <b>1.42%</b> | <b>1.53%</b> | <b>1.25%</b> | <b>1.39%</b> | <b>1.34%</b> | <b>1.27%</b> | <b>1.15%</b> |
| <b>RoRWA</b>               | <b>2.93%</b> | <b>2.90%</b> | <b>2.78%</b> | <b>2.44%</b> | <b>3.16%</b> | <b>2.91%</b> | <b>3.34%</b> | <b>2.92%</b> | <b>3.29%</b> | <b>3.19%</b> | <b>2.96%</b> | <b>2.61%</b> |
| Equity/Assets              | 7.37%        | 7.42%        | 7.58%        | 7.90%        | 7.95%        | 7.89%        | 8.09%        | 8.12%        | 7.96%        | 7.87%        | 7.82%        | 7.86%        |
| <b>ROE</b>                 | <b>18.7%</b> | <b>18.8%</b> | <b>18.2%</b> | <b>15.4%</b> | <b>19.5%</b> | <b>17.9%</b> | <b>18.9%</b> | <b>15.3%</b> | <b>17.4%</b> | <b>17.0%</b> | <b>16.2%</b> | <b>14.6%</b> |

Source: Company reports and J.P. Morgan estimates.

## Price Performance



|     | YTD   | 1m   | 3m    | 12m   |
|-----|-------|------|-------|-------|
| Abs | 13.8% | 8.9% | 16.4% | 47.8% |
| Rel | 1.4%  | 3.3% | 6.2%  | 16.8% |

## Company Data

|                             |             |
|-----------------------------|-------------|
| Shares O/S (mn)             | 2,837       |
| 52-week range (\$\$)        | 50.00-32.79 |
| Market cap (\$ mn)          | 109,813     |
| Exchange rate               | 1.29        |
| Free float (%)              | 71.6%       |
| 3M ADV (mn)                 | 4.44        |
| 3M ADV (\$ mn)              | 156.7       |
| Volatility (90 Day)         | 28          |
| Index                       | FTSTI       |
| BBG ANR (Buy   Hold   Sell) | 9 10 0      |

## Key Metrics (FYE Dec)

| \$ in millions             | FY24A   | FY25E   | FY26E   | FY27E   |
|----------------------------|---------|---------|---------|---------|
| <b>Financial Estimates</b> |         |         |         |         |
| Net interest income        | 14,424  | 14,408  | 14,042  | 14,327  |
| Non interest income        | 8,123   | 8,761   | 9,397   | 9,982   |
| Operating expenses         | (8,895) | (9,274) | (9,615) | (9,970) |
| Adj. PPOP                  | 13,652  | 13,896  | 13,823  | 14,339  |
| Provision for loan losses  | (623)   | (807)   | (939)   | (984)   |
| Adj. PBT                   | 12,888  | 12,977  | 12,778  | 13,252  |
| Adj. net income            | 11,289  | 10,884  | 10,717  | 11,115  |
| Adj. EPS                   | 3.97    | 3.85    | 3.82    | 4.01    |
| BBG EPS                    | 3.97    | 3.83    | 3.95    | 4.12    |
| DPS                        | 2.22    | 3.07    | 3.32    | 3.50    |
| Loans                      | 430,594 | 442,609 | 463,700 | 485,886 |
| Deposits                   | 561,730 | 592,021 | 612,986 | 634,707 |
| Total Assets               | 827,219 | 867,050 | 902,283 | 939,194 |
| <b>Margins and Growth</b>  |         |         |         |         |
| NIM                        | 2.1%    | 2.0%    | 1.9%    | 1.8%    |
| <b>Ratios</b>              |         |         |         |         |
| Loan/ Deposit ratio        | 76.7%   | 74.8%   | 75.6%   | 76.6%   |
| NPL / Loans                | 1.1%    | 1.1%    | 1.3%    | 1.4%    |
| Coverage                   | 127.4%  | 119.1%  | 102.6%  | 88.5%   |
| CET 1                      | -       | -       | -       | -       |
| Non-int. income/ Income    | 36.0%   | 37.8%   | 40.1%   | 41.1%   |
| Cost/Income                | 39.5%   | 40.0%   | 41.0%   | 41.0%   |
| LLP/Loans                  | (0.1%)  | (0.2%)  | (0.2%)  | (0.2%)  |
| ROA                        | 1.4%    | 1.3%    | 1.2%    | 1.2%    |
| ROE                        | 17.9%   | 16.1%   | 15.3%   | 15.5%   |
| <b>Valuation</b>           |         |         |         |         |
| Dividend yield             | 4.5%    | 6.2%    | 6.7%    | 7.0%    |
| Adj. P/E                   | 12.5    | 12.9    | 13.0    | 12.4    |
| P/ BV                      | 2.13    | 2.04    | 1.94    | 1.91    |

## Summary Investment Thesis and Valuation

### Investment Thesis

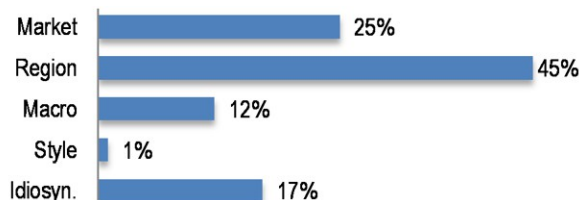
We hold a Neutral rating on DBS.

- The bank's commitment to and delivery of payouts in numerous forms (progressively increasing regular dividends, bonus shares and buyback) allows investors to pay a multiple for the income stream. Yet, with progressively higher payout and range-bound EPS, it becomes tougher for the stock to re-rate beyond a point.
- DBS is positioned to deliver ~\$S10.8-11.1bn in profits over the next 3Y, despite potential decline in NIM with lower rates. WM continues to drive non-II, and asset quality appears intact. We expect 12/14bps annual decline in NIM 2025/26E. The bank has reduced rate-sensitivity of NIM over the next few years, helping improve capital generation visibility. Yet, the synchronized decline in rates across SGD and HKD suggests NIM will still come off, and DPS would stabilize in 2028-30E.
- DBS has delivered one of the best ROE expansions in the last decade as high rates and technology-led changes across the franchise led to improvements in growth, efficiency, and returns. The bank's digital strength is driving gains in loan market share, WM, as well as underwriting, which had previously seen challenges at the bank.

### Valuation

Our Jun-26 PT of \$S50.5 is based on a fair P/B of 1.89x, assuming a normalized RoE of 15.6%, a risk-free rate of 4.2%, a cost of capital of 9.2% and a growth rate of 2.00%.

### Performance Drivers



| Factors                      | 6M Corr | 1Y Corr |
|------------------------------|---------|---------|
| Market: MSCI Asia Pac ex JP  | 0.77    | 0.51    |
| Region: Singapore            | 0.70    | 0.80    |
| <b>Macro:</b>                |         |         |
| HSI Volatility Index         | -0.62   | -0.60   |
| JPM China A-shares Sentiment | -0.19   | -0.26   |
| US 10 Year Yield             | -0.37   | -0.24   |
| <b>Quant Styles:</b>         |         |         |
| Growth                       | 0.09    | 0.43    |
| Momentum                     | 0.01    | 0.36    |
| DivYld                       | 0.14    | -0.23   |

Source: J.P. Morgan Quantitative and Derivatives Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

## DBS Group Holdings (Neutral; Price Target: S\$50.50)

### Investment Thesis

We hold a Neutral rating on DBS.

- The bank's commitment to and delivery of payouts in numerous forms (progressively increasing regular dividends, bonus shares and buyback) allows investors to pay a multiple for the income stream. Yet, with progressively higher payout and range-bound EPS, it becomes tougher for the stock to re-rate beyond a point.
- DBS is positioned to deliver ~S\$10.8-11.1bn in profits over the next 3Y, despite a potential decline in NIM with lower rates. WM continues to drive non-II, and asset quality appears intact. We expect 12/6bps annual decline in NIM 2025/26E. The bank has reduced rate-sensitivity of NIM over the next few years, helping improve capital generation visibility. Yet, the synchronized decline in rates across SGD and HKD suggests NIM will still come off, and DPS would stabilize in 2028-30E.
- DBS has delivered one of the best ROE expansions in the last decade as high rates and technology-led changes across the franchise led to improvements in growth, efficiency, and returns. The bank's digital strength is driving gains in loan market share, WM, as well as underwriting, which had previously seen challenges at the bank.
- Any indication of a pick-up in NPL formation would be a catalyst for de-rating. A key risk area could be trade-related exposure.

### Valuation

Our Jun-26 PT of S\$50.5 is based on a fair P/B of 1.89x, assuming a normalized RoE of 15.6%, a risk-free rate of 4.2%, a cost of capital of 9.2% and a growth rate of 2.00%.

### Risks to Rating and Price Target

Upside catalysts include: (1) further increases in payout; (2) resilient GDP growth, leading to better-than-expected growth and asset quality; (3) sustained improvements in underwriting and monitoring, leading to lower-than-expected credit costs; (4) better-than-expected efficiency gains due to digital investments; and (5) better-than-expected WM performance.

Downside risks include: (1) dividend disappointment; (2) asset quality deterioration; and (3) faster and/or larger Fed rate cuts or decline in SORA, which would drive a larger than expected NIM compression. Any acquisition will come with two-sided risks.

## DBS Group Holdings: Summary of Financials

| Income Statement                |               |               |               |               |               | Balance Sheet                                   |                |                |                |                |                |
|---------------------------------|---------------|---------------|---------------|---------------|---------------|-------------------------------------------------|----------------|----------------|----------------|----------------|----------------|
|                                 | FY23A         | FY24A         | FY25E         | FY26E         | FY27E         |                                                 | FY23A          | FY24A          | FY25E          | FY26E          | FY27E          |
| Interest income                 | 27,862        | 30,927        | 28,302        | 27,208        | 27,317        | Cash and cash equivalents                       | 0              | 0              | 0              | 0              | 0              |
| Interest expense                | (14,220)      | (16,503)      | (13,894)      | (13,166)      | (12,990)      | Deposits with banks                             | 117,674        | 139,061        | 139,413        | 140,796        | 142,158        |
| <b>Net interest income</b>      | <b>13,642</b> | <b>14,424</b> | <b>14,408</b> | <b>14,042</b> | <b>14,327</b> | Net loans                                       | 416,163        | 430,594        | 442,609        | 463,700        | 485,886        |
| Non interest income             | 6,752         | 8,123         | 8,761         | 9,397         | 9,982         | PP&E                                            | 3,689          | 3,873          | 3,873          | 3,989          | 4,109          |
| o/w Fee income                  | 3,384         | 4,168         | 4,752         | 5,227         | 5,645         | Net intangibles                                 | 6,313          | 6,372          | 6,372          | 6,372          | 6,372          |
| o/w Trading income              | 1,369         | 1,541         | 1,572         | 1,635         | 1,700         | LT investments                                  | 154,787        | 189,665        | 220,011        | 231,012        | 242,563        |
| <b>Net revenues</b>             | <b>20,394</b> | <b>22,547</b> | <b>23,169</b> | <b>23,439</b> | <b>24,309</b> | Other assets                                    | 40,675         | 57,654         | 54,771         | 56,414         | 58,107         |
| Non interest expense            | (8,056)       | (8,895)       | (9,274)       | (9,615)       | (9,970)       | <b>Total assets</b>                             | <b>739,301</b> | <b>827,219</b> | <b>867,050</b> | <b>902,283</b> | <b>939,194</b> |
| o/w Employee costs              | 0             | 0             | 0             | 0             | 0             | Interest earning assets                         | 694,613        | 765,410        | 807,989        | 841,557        | 876,656        |
| <b>Pre-Prov. Profits</b>        | <b>12,338</b> | <b>13,652</b> | <b>13,896</b> | <b>13,823</b> | <b>14,339</b> | Deposits                                        | 535,103        | 561,730        | 592,021        | 612,986        | 634,707        |
| Provisions                      | (591)         | (623)         | (807)         | (939)         | (984)         | Borrowings                                      | 96,102         | 133,343        | 149,244        | 159,885        | 171,346        |
| <b>Adj. PBT</b>                 | <b>11,515</b> | <b>12,888</b> | <b>12,977</b> | <b>12,778</b> | <b>13,252</b> | Other liabilities                               | 48,241         | 65,705         | 56,841         | 57,716         | 61,179         |
| Income taxes                    | (1,452)       | (1,598)       | (2,092)       | (2,061)       | (2,136)       | <b>Total liabilities</b>                        | <b>679,446</b> | <b>760,778</b> | <b>798,107</b> | <b>830,587</b> | <b>867,232</b> |
| Minority interest               | (1)           | (1)           | (1)           | (1)           | (1)           | Shareholder equity                              | 59,673         | 66,394         | 68,896         | 71,650         | 71,915         |
| <b>Adj. Net profit</b>          | <b>10,062</b> | <b>11,289</b> | <b>10,884</b> | <b>10,717</b> | <b>11,115</b> | Minority interests                              | 182            | 47             | 47             | 47             | 47             |
| PPOP per share                  | 4.35          | 4.80          | 4.93          | 4.96          | 5.20          | <b>Total liabilities and Shareholder equity</b> | <b>739,301</b> | <b>827,219</b> | <b>867,050</b> | <b>902,283</b> | <b>939,194</b> |
| Reported EPS                    | 3.55          | 3.97          | 3.85          | 3.82          | 4.01          | Interest bearing liabilities                    | 604,787        | 604,787        | 718,169        | 757,068        | 789,462        |
| <b>Adj. EPS</b>                 | <b>3.55</b>   | <b>3.97</b>   | <b>3.85</b>   | <b>3.82</b>   | <b>4.01</b>   | Book Value Per Share                            | 21.03          | 23.38          | 24.44          | 25.70          | 26.09          |
| <b>DPS</b>                      | <b>1.75</b>   | <b>2.22</b>   | <b>3.07</b>   | <b>3.32</b>   | <b>3.50</b>   | Tangible Book Value Per Share                   | 21.03          | 23.38          | 24.44          | 25.70          | 26.09          |
| Diluted shares outstanding      | 2,836         | 2,843         | 2,830         | 2,804         | 2,772         |                                                 |                |                |                |                |                |
| <b>Balance Sheet Gearing</b>    | <b>FY23A</b>  | <b>FY24A</b>  | <b>FY25E</b>  | <b>FY26E</b>  | <b>FY27E</b>  | <b>Asset Quality/Capital</b>                    | <b>FY23A</b>   | <b>FY24A</b>   | <b>FY25E</b>   | <b>FY26E</b>   | <b>FY27E</b>   |
| Loans/Deposits                  | 77.8%         | 76.7%         | 74.8%         | 75.6%         | 76.6%         | Loan loss reserves/Loans                        | (1.4%)         | (1.4%)         | (1.3%)         | (1.3%)         | (1.2%)         |
| Investment/Assets               | 20.1%         | 22.0%         | 24.2%         | 25.5%         | 25.7%         | NPLs/Loans                                      | 1.1%           | 1.1%           | 1.1%           | 1.3%           | 1.4%           |
| Loan/Assets                     | 56.8%         | 54.8%         | 52.2%         | 51.9%         | 52.2%         | Loan loss reserves/NPLs                         | 124.3%         | 127.5%         | 123.2%         | 110.2%         | 95.0%          |
| Customer deposits/Liabilities   | 78.8%         | 73.8%         | 74.2%         | 73.8%         | 73.2%         | NPL y/y growth                                  | (1.3%)         | 1.8%           | 4.6%           | 17.9%          | 15.9%          |
| LT debt/Liabilities             | 13.7%         | 15.9%         | 18.1%         | 19.0%         | 19.5%         | Tier 1 ratio                                    | 15.3%          | 17.7%          | 17.0%          | 16.4%          | 15.4%          |
|                                 |               |               |               |               |               | CAR                                             | 16.1%          | 18.6%          | 17.8%          | 17.2%          | 16.2%          |
| <b>Ratio Analysis (%)</b>       | <b>FY23A</b>  | <b>FY24A</b>  | <b>FY25E</b>  | <b>FY26E</b>  | <b>FY27E</b>  | <b>Ratio Analysis (%)</b>                       | <b>FY23A</b>   | <b>FY24A</b>   | <b>FY25E</b>   | <b>FY26E</b>   | <b>FY27E</b>   |
| Net interest margin             | 2.2%          | 2.1%          | 2.0%          | 1.9%          | 1.8%          | Return on equity (ROE)                          | 17.6%          | 17.9%          | 16.1%          | 15.3%          | 15.5%          |
| Non interest income/Net revenue | 33.1%         | 36.0%         | 37.8%         | 40.1%         | 41.1%         | Return on assets (ROA)                          | 1.4%           | 1.4%           | 1.3%           | 1.2%           | 1.2%           |
| Non interest income/Avg. Assets | 0.9%          | 1.0%          | 1.0%          | 1.1%          | 1.1%          | Operating ROA                                   | 1.6%           | 1.7%           | 1.5%           | 1.5%           | 1.5%           |
| Efficiency ratio                | 39.5%         | 39.5%         | 40.0%         | 41.0%         | 41.0%         | Pre-Tax ROA                                     | 1.6%           | 1.6%           | 1.5%           | 1.4%           | 1.4%           |
| Leverage ratio                  | 7.6%          | 8.0%          | 7.6%          | 7.3%          | 7.1%          | Pre-Provision ROA                               | 1.7%           | 1.7%           | 1.6%           | 1.6%           | 1.6%           |
| Revenue/Assets                  | 2.8%          | 2.9%          | 2.7%          | 2.6%          | 2.6%          | Tax rate                                        | 12.6%          | 12.4%          | 16.1%          | 16.1%          | 16.1%          |
| RORWA                           | 2.8%          | 3.1%          | 3.0%          | 2.8%          | 2.7%          |                                                 |                |                |                |                |                |
| RWA                             | 368,363       | 352,002       | 381,502       | 397,005       | 422,637       | Net loans y/y growth                            | 0.4%           | 3.5%           | 2.8%           | 4.8%           | 4.8%           |
| Avg. RWA                        | 357,629       | 360,183       | 366,752       | 389,253       | 409,821       | Assets y/y growth                               | (0.5%)         | 11.9%          | 4.8%           | 4.1%           | 4.1%           |
| Avg. IEA                        | 634,435       | 676,148       | 715,896       | 750,543       | 781,787       | RWA y/y growth                                  | 6.2%           | (4.4%)         | 8.4%           | 4.1%           | 6.5%           |
| Gross Loans                     | 422,152       | 436,684       | 448,565       | 469,749       | 491,935       | Deposits y/y growth                             | 1.5%           | 5.0%           | 5.4%           | 3.5%           | 3.5%           |
| Avg. IBL                        | 604,787       | 604,787       | 718,169       | 757,068       | 789,462       | Net interest income y/y growth                  | 24.7%          | 5.7%           | (0.1%)         | (2.5%)         | 2.0%           |
| LLR                             | (5,989)       | (6,090)       | (5,955)       | (6,049)       | (6,049)       | Revenues y/y growth                             | 22.1%          | 10.6%          | 2.8%           | 1.2%           | 3.7%           |
| NPLs                            | 4,697         | 4,780         | 4,998         | 5,895         | 6,835         | Adj. EPS y/y growth                             | 22.6%          | 11.9%          | (3.1%)         | (0.6%)         | 4.9%           |
| P/BV (x)                        | 2.37          | 2.13          | 2.04          | 1.94          | 1.91          | BVPS y/y growth                                 | 9.3%           | 11.1%          | 4.5%           | 5.2%           | 1.5%           |
| Adj. P/E (x)                    | 14.0          | 12.5          | 12.9          | 13.0          | 12.4          | IE assets/Assets                                | 85.6%          | 86.3%          | 84.5%          | 84.8%          | 84.9%          |
| Dividend yield                  | 3.5%          | 4.5%          | 6.2%          | 6.7%          | 7.0%          | Margins (as % of Avg. Assets)                   | 1.7%           | 1.7%           | 1.5%           | 1.4%           | 1.4%           |
| Dividend payout                 | 49.2%         | 55.9%         | 79.8%         | 86.8%         | 87.3%         | LLP/Loans                                       | (0.1%)         | (0.1%)         | (0.2%)         | (0.2%)         | (0.2%)         |
|                                 |               |               |               |               |               | Equity/Assets                                   | 7.7%           | 8.0%           | 8.0%           | 7.9%           | 7.8%           |
|                                 |               |               |               |               |               | Cost/Assets                                     | 1.1%           | 1.1%           | 1.1%           | 1.1%           | 1.1%           |
|                                 |               |               |               |               |               | Assets/Equity                                   | 13.0           | 12.4           | 12.5           | 12.6           | 12.8           |

Source: Company reports and J.P. Morgan estimates.

Note: \$S in millions (except per-share data). Fiscal year ends Dec

## Neutral

### OCBC.SI, OCBC SP

Price (07 Aug 25): S\$17.09

▼ **Price Target (Jun-26): S\$17.50**

Prior (Jun-26): S\$18.00

### APAC Banks

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### Quarterly Forecasts (FYE Dec)

Adj. EPS (\$)

|    | 2024A | 2025E | 2026E |
|----|-------|-------|-------|
| Q1 | 0.44  | 0.42A |       |
| Q2 | 0.43  | 0.40A |       |
| Q3 | 0.44  | 0.39  |       |
| Q4 | 0.37  | 0.38  |       |
| FY | 1.67  | 1.59  | 1.60  |

### Style Exposure

| Quant Factors | Current %Rank | Hist %Rank (1=Top) |    |    |    |
|---------------|---------------|--------------------|----|----|----|
|               |               | 6M                 | 1Y | 3Y | 5Y |
| Value         | 13            | 22                 | 19 | 7  | 16 |
| Growth        | 35            | 13                 | 22 | 7  | 63 |
| Momentum      | 60            | 26                 | 13 | 66 | 66 |
| Quality       | 13            | 10                 | 10 | 4  | 22 |
| Low Vol       | 19            | 1                  | 4  | 16 | 1  |
| ESGQ          | 15            | 15                 | 86 | 23 | 89 |

## OCBC Bank

### Steady amidst transition

We are reducing our Jun-26 PT to S\$17.5 (from S\$18), as we lower our FY25-26E EPS estimates by 2%, driven by lower NIM. We expect FY25 NIM of 1.92% vs. bank guidance of 1.9-1.95%, as we expect continued pass-through of lower SORA/HIBOR to the book. Guidance of low 40s CIR suggests likely cost increases in 2H. The bank has capacity to pay dividends with 15.3% fully phased-in CET1, and we expect OCBC to hold DPS at S\$1.01 for the next 3Y (in line with FY24, implying total payout of 60-63%). The stock offers 5.9% dividend yield, which is middle of the pack among the three banks.

## Valuation

Table 11: OCBC: Valuation

|                      | Net Inc<br>(S\$ mn) | Core EPS<br>(S\$) | Core P/E<br>(x)    | BVPS<br>(S\$)              | P/B<br>(x) | Dividend<br>(S\$) | Div Yld<br>(%)     | RoA<br>(%)                 | RoRWA<br>(%) | RoE<br>(%) |
|----------------------|---------------------|-------------------|--------------------|----------------------------|------------|-------------------|--------------------|----------------------------|--------------|------------|
| 2021                 | 4,812               | 1.07              | 16.0               | 11.5                       | 1.49       | 0.53              | 3.1%               | 0.90%                      | 2.19%        | 9.7%       |
| 2022                 | 5,691               | 1.27              | 13.5               | 11.4                       | 1.49       | 0.68              | 4.0%               | 1.03%                      | 2.52%        | 11.1%      |
| 2023                 | 6,986               | 1.55              | 11.0               | 11.8                       | 1.45       | 0.82              | 4.8%               | 1.22%                      | 3.00%        | 13.4%      |
| 2024                 | 7,519               | 1.67              | 10.2               | 12.8                       | 1.33       | 1.01              | 5.9%               | 1.25%                      | 3.21%        | 13.6%      |
| 2025E                | 7,147               | 1.59              | 10.7               | 13.4                       | 1.28       | 1.01              | 5.9%               | 1.11%                      | 2.94%        | 12.2%      |
| 2026E                | 7,104               | 1.60              | 10.7               | 13.9                       | 1.23       | 1.01              | 5.9%               | 1.06%                      | 2.74%        | 11.7%      |
| 2027E                | 7,468               | 1.70              | 10.1               | 14.6                       | 1.17       | 1.01              | 5.9%               | 1.08%                      | 2.72%        | 11.9%      |
| Price (S\$)          |                     | 17.09             |                    | Number of shares (mn)      |            | 4,495             |                    | Market Cap (S\$ mn)        |              | 76,817     |
| Normalised RoE       |                     |                   | PB based Valuation |                            |            |                   | PE based Valuation |                            |              |            |
| NIM (on avg. assets) |                     | 1.35%             |                    | Risk-free rate             |            | 4.7%              |                    | Fair PE                    |              | 9.7x       |
| Non-IR/revenues      |                     | 38.9%             |                    | Cost of capital            |            | 10.4%             |                    | 12m Rolling EPS            |              | S\$1.60    |
| Cost/income          |                     | 40.1%             |                    | Long term growth           |            | 1.0%              |                    | PE based Jun-26 Fair Value |              | S\$15.6    |
| Operating RoA        |                     | 1.32%             |                    | Fair PB                    |            | 1.19x             |                    | Implied Value of Growth    |              |            |
| LLP/Loans            |                     | -0.25%            |                    | PV of Terminal Value       |            | S\$14.7           |                    | 12m Rolling EPS            |              | S\$1.60    |
| Net RoAA             |                     | 1.11%             |                    | PV of Dividends            |            | S\$1.0            |                    | Capitalized Value (S\$)    |              | \$15.32    |
| Equity/Assets        |                     | 9.1%              |                    | PV of today's Fair Value   |            | S\$15.7           |                    | Value of Growth (S\$)      |              | \$1.77     |
| Normalised RoE       |                     | 12.2%             |                    | PB based Jun-26 Fair Value |            | S\$17.4           |                    | Attributable to Growth     |              | 10.4%      |

Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Sources for: Style Exposure – J.P. Morgan Quantitative and Derivatives Strategy; all other tables are company data and J.P. Morgan estimates.

## Annual forecasts

Table 12: OCBC: Annual P&L

| S\$ in mn                    | 2014         | 2015         | 2016         | 2017         | 2018         | 2019          | 2020          | 2021          | 2022          | 2023          | 2024          | 2025E         | 2026E         | 2027E         |
|------------------------------|--------------|--------------|--------------|--------------|--------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|
| Interest Income              | 7,607        | 8,486        | 8,368        | 9,118        | 11,049       | 12,098        | 9,143         | 7,425         | 11,590        | 20,867        | 22,444        | 20,039        | 19,113        | 19,154        |
| Interest Expense             | (2,871)      | (3,297)      | (3,316)      | (3,695)      | (5,159)      | (5,767)       | (3,177)       | (1,570)       | (3,902)       | (11,222)      | (12,689)      | (10,971)      | (10,270)      | (10,108)      |
| <b>Net Interest Income</b>   | <b>4,736</b> | <b>5,189</b> | <b>5,052</b> | <b>5,423</b> | <b>5,890</b> | <b>6,331</b>  | <b>5,966</b>  | <b>5,855</b>  | <b>7,688</b>  | <b>9,645</b>  | <b>9,755</b>  | <b>9,068</b>  | <b>8,842</b>  | <b>9,046</b>  |
| <b>Non-Interest Income</b>   | <b>3,182</b> | <b>3,530</b> | <b>3,437</b> | <b>4,213</b> | <b>3,811</b> | <b>4,540</b>  | <b>4,173</b>  | <b>4,741</b>  | <b>3,987</b>  | <b>3,862</b>  | <b>4,718</b>  | <b>5,123</b>  | <b>5,522</b>  | <b>5,814</b>  |
| Net Fee income               | 1,495        | 1,643        | 1,638        | 1,953        | 2,031        | 2,123         | 2,003         | 2,245         | 1,851         | 1,804         | 1,970         | 2,246         | 2,425         | 2,571         |
| Trading income               | 498          | 756          | 727          | 946          | 524          | 1,148         | 1,071         | 855           | 628           | 1,250         | 1,831         | 1,795         | 1,950         | 2,028         |
| Other operating income       | 1,189        | 1,131        | 1,072        | 1,314        | 1,256        | 1,269         | 1,099         | 1,641         | 1,508         | 808           | 917           | 1,082         | 1,147         | 1,216         |
| <b>Total Revenues</b>        | <b>7,918</b> | <b>8,719</b> | <b>8,489</b> | <b>9,636</b> | <b>9,701</b> | <b>10,871</b> | <b>10,139</b> | <b>10,596</b> | <b>11,675</b> | <b>13,507</b> | <b>14,473</b> | <b>14,191</b> | <b>14,365</b> | <b>14,860</b> |
| Costs                        | (3,258)      | (3,664)      | (3,788)      | (4,034)      | (4,214)      | (4,644)       | (4,439)       | (4,764)       | (5,026)       | (5,223)       | (5,742)       | (5,721)       | (5,912)       | (6,050)       |
| <b>PPOP</b>                  | <b>4,660</b> | <b>5,055</b> | <b>4,701</b> | <b>5,602</b> | <b>5,487</b> | <b>6,227</b>  | <b>5,700</b>  | <b>5,832</b>  | <b>6,649</b>  | <b>8,284</b>  | <b>8,731</b>  | <b>8,469</b>  | <b>8,453</b>  | <b>8,810</b>  |
| Loan loss provisions         | (359)        | (409)        | (656)        | (621)        | (307)        | (747)         | (2,043)       | (873)         | (584)         | (733)         | (690)         | (734)         | (869)         | (906)         |
| Other provisions             | (72)         | (177)        | (166)        | (154)        | (83)         | (102)         | (104)         | (103)         | (104)         | (103)         | (59)          | (59)          | (59)          | (59)          |
| Other income                 | 112          | 353          | 396          | 389          | 455          | 566           | 612           | 824           | 978           | 953           | 994           | 1,123         | 1,236         | 1,359         |
| <b>Pre-Tax</b>               | <b>4,341</b> | <b>4,822</b> | <b>4,275</b> | <b>5,216</b> | <b>5,552</b> | <b>5,944</b>  | <b>4,165</b>  | <b>5,680</b>  | <b>6,939</b>  | <b>8,401</b>  | <b>8,976</b>  | <b>8,800</b>  | <b>8,760</b>  | <b>9,205</b>  |
| Tax                          | (687)        | (717)        | (629)        | (803)        | (877)        | (814)         | (437)         | (648)         | (1,057)       | (1,236)       | (1,228)       | (1,408)       | (1,402)       | (1,473)       |
| Minorities and Hybrids       | (234)        | (205)        | (173)        | (267)        | (183)        | (170)         | (142)         | (174)         | (134)         | (144)         | (161)         | (177)         | (186)         | (195)         |
| <b>Core Reported profit</b>  | <b>3,420</b> | <b>3,900</b> | <b>3,473</b> | <b>4,146</b> | <b>4,492</b> | <b>4,960</b>  | <b>3,586</b>  | <b>4,858</b>  | <b>5,748</b>  | <b>7,021</b>  | <b>7,587</b>  | <b>7,215</b>  | <b>7,173</b>  | <b>7,537</b>  |
| <b>Profits to Equity SHs</b> | <b>3,785</b> | <b>3,844</b> | <b>3,414</b> | <b>4,089</b> | <b>4,459</b> | <b>4,810</b>  | <b>3,530</b>  | <b>4,812</b>  | <b>5,691</b>  | <b>6,986</b>  | <b>7,519</b>  | <b>7,147</b>  | <b>7,104</b>  | <b>7,468</b>  |

Source: Company reports and J.P. Morgan estimates.

Table 13: OCBC: Annual DuPont

|                            | 2014         | 2015         | 2016         | 2017         | 2018         | 2019         | 2020         | 2021         | 2022         | 2023         | 2024         | 2025E        | 2026E        | 2027E        |
|----------------------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|
| <b>NIM (% of avg. IEA)</b> | <b>1.68%</b> | <b>1.67%</b> | <b>1.67%</b> | <b>1.65%</b> | <b>1.70%</b> | <b>1.77%</b> | <b>1.61%</b> | <b>1.54%</b> | <b>1.91%</b> | <b>2.28%</b> | <b>2.20%</b> | <b>1.92%</b> | <b>1.80%</b> | <b>1.78%</b> |
| IEA/Assets                 | 76.1%        | 78.4%        | 75.7%        | 76.0%        | 75.3%        | 74.5%        | 72.9%        | 71.4%        | 72.9%        | 74.1%        | 73.5%        | 73.4%        | 73.4%        | 73.3%        |
| Margins (% of avg. Assets) | 1.28%        | 1.31%        | 1.26%        | 1.25%        | 1.28%        | 1.32%        | 1.18%        | 1.10%        | 1.40%        | 1.69%        | 1.62%        | 1.41%        | 1.32%        | 1.30%        |
| Non-IR contribution        | 40.2%        | 40.5%        | 40.5%        | 43.7%        | 39.3%        | 41.8%        | 41.2%        | 44.7%        | 34.1%        | 28.6%        | 32.6%        | 36.1%        | 38.4%        | 39.1%        |
| Non-IR/Avg. Assets         | 0.86%        | 0.89%        | 0.86%        | 0.97%        | 0.83%        | 0.95%        | 0.82%        | 0.89%        | 0.72%        | 0.68%        | 0.78%        | 0.80%        | 0.82%        | 0.84%        |
| <b>Revenue/Assets</b>      | <b>2.14%</b> | <b>2.20%</b> | <b>2.12%</b> | <b>2.23%</b> | <b>2.10%</b> | <b>2.27%</b> | <b>2.00%</b> | <b>1.99%</b> | <b>2.12%</b> | <b>2.37%</b> | <b>2.40%</b> | <b>2.21%</b> | <b>2.14%</b> | <b>2.14%</b> |
| Cost/Income                | 41.1%        | 42.0%        | 44.6%        | 41.9%        | 43.4%        | 42.7%        | 43.8%        | 45.0%        | 43.0%        | 38.7%        | 39.7%        | 40.3%        | 41.2%        | 40.7%        |
| C/Assets                   | 0.88%        | 0.93%        | 0.95%        | 0.93%        | 0.91%        | 0.97%        | 0.88%        | 0.90%        | 0.91%        | 0.92%        | 0.95%        | 0.89%        | 0.88%        | 0.87%        |
| <b>Pre-Provision ROA</b>   | <b>1.26%</b> | <b>1.28%</b> | <b>1.18%</b> | <b>1.30%</b> | <b>1.19%</b> | <b>1.30%</b> | <b>1.13%</b> | <b>1.10%</b> | <b>1.21%</b> | <b>1.45%</b> | <b>1.45%</b> | <b>1.32%</b> | <b>1.26%</b> | <b>1.27%</b> |
| LLP/Loans                  | -0.19%       | -0.19%       | -0.30%       | -0.27%       | -0.12%       | -0.29%       | -0.77%       | -0.31%       | -0.20%       | -0.25%       | -0.22%       | -0.22%       | -0.26%       | -0.26%       |
| Loan/Assets                | 51.3%        | 53.1%        | 53.8%        | 52.9%        | 53.7%        | 54.5%        | 52.5%        | 52.4%        | 53.1%        | 51.8%        | 51.0%        | 50.8%        | 50.8%        | 51.2%        |
| Other Income/Assets        | 0.01%        | 0.04%        | 0.06%        | 0.05%        | 0.08%        | 0.10%        | 0.10%        | 0.14%        | 0.16%        | 0.15%        | 0.15%        | 0.17%        | 0.18%        | 0.19%        |
| <b>Operating ROA</b>       | <b>1.16%</b> | <b>1.17%</b> | <b>1.01%</b> | <b>1.15%</b> | <b>1.12%</b> | <b>1.14%</b> | <b>0.72%</b> | <b>0.93%</b> | <b>1.10%</b> | <b>1.32%</b> | <b>1.33%</b> | <b>1.20%</b> | <b>1.13%</b> | <b>1.14%</b> |
| Pre-Tax ROA                | 1.17%        | 1.22%        | 1.07%        | 1.21%        | 1.20%        | 1.24%        | 0.82%        | 1.07%        | 1.26%        | 1.47%        | 1.49%        | 1.37%        | 1.31%        | 1.33%        |
| Tax Rate                   | -15.8%       | -14.9%       | -14.7%       | -15.4%       | -15.8%       | -13.7%       | -10.5%       | -11.4%       | -15.2%       | -14.7%       | -13.7%       | -16.0%       | -16.0%       | -16.0%       |
| Minorities & Outside Int.  | -0.06%       | -0.05%       | -0.04%       | -0.06%       | -0.04%       | -0.04%       | -0.03%       | -0.03%       | -0.02%       | -0.03%       | -0.03%       | -0.03%       | -0.03%       | -0.03%       |
| <b>ROA</b>                 | <b>1.04%</b> | <b>0.99%</b> | <b>0.87%</b> | <b>0.96%</b> | <b>0.97%</b> | <b>1.02%</b> | <b>0.71%</b> | <b>0.91%</b> | <b>1.04%</b> | <b>1.23%</b> | <b>1.26%</b> | <b>1.12%</b> | <b>1.07%</b> | <b>1.09%</b> |
| <b>RoRWA</b>               | <b>2.27%</b> | <b>2.05%</b> | <b>1.78%</b> | <b>2.12%</b> | <b>2.28%</b> | <b>2.35%</b> | <b>1.66%</b> | <b>2.19%</b> | <b>2.52%</b> | <b>3.00%</b> | <b>3.21%</b> | <b>2.94%</b> | <b>2.74%</b> | <b>2.72%</b> |
| Equity/Assets              | 7.2%         | 7.9%         | 8.6%         | 8.4%         | 8.5%         | 9.0%         | 9.2%         | 9.3%         | 9.3%         | 9.1%         | 9.2%         | 9.1%         | 9.0%         | 9.0%         |
| <b>ROE</b>                 | <b>14.4%</b> | <b>12.4%</b> | <b>10.1%</b> | <b>11.3%</b> | <b>11.5%</b> | <b>11.3%</b> | <b>7.7%</b>  | <b>9.8%</b>  | <b>11.2%</b> | <b>13.5%</b> | <b>13.7%</b> | <b>12.3%</b> | <b>11.8%</b> | <b>12.0%</b> |

Source: Company reports and J.P. Morgan estimates.

## Quarterly forecasts

Table 14: OCBC: Quarterly P&L

| S\$ in mn                    | 1Q23         | 2Q23         | 3Q23         | 4Q23         | 1Q24         | 2Q24         | 3Q24         | 4Q24         | 1Q25         | 2Q25         | 3Q25E        | 4Q25E        |
|------------------------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|
| Interest Income              | 4,675        | 5,171        | 5,438        | 5,582        | 5,615        | 5,615        | 5,596        | 5,617        | 5,411        | 4,993        | 4,834        | 4,801        |
| Interest Expense             | (2,336)      | (2,783)      | (2,982)      | (3,120)      | (3,178)      | (3,185)      | (3,163)      | (3,162)      | (3,066)      | (2,710)      | (2,605)      | (2,590)      |
| <b>Net Interest Income</b>   | <b>2,338</b> | <b>2,389</b> | <b>2,456</b> | <b>2,462</b> | <b>2,437</b> | <b>2,430</b> | <b>2,433</b> | <b>2,455</b> | <b>2,345</b> | <b>2,283</b> | <b>2,229</b> | <b>2,211</b> |
| <b>Non-Interest Income</b>   | <b>1,012</b> | <b>1,066</b> | <b>973</b>   | <b>811</b>   | <b>1,189</b> | <b>1,199</b> | <b>1,369</b> | <b>961</b>   | <b>1,310</b> | <b>1,264</b> | <b>1,271</b> | <b>1,278</b> |
| Net Fee income               | 453          | 430          | 461          | 460          | 479          | 466          | 508          | 517          | 546          | 580          | 568          | 551          |
| Trading income               | 321          | 374          | 292          | 263          | 421          | 439          | 628          | 343          | 458          | 458          | 442          | 437          |
| Other operating income       | 238          | 262          | 220          | 88           | 289          | 294          | 233          | 101          | 306          | 226          | 260          | 290          |
| <b>Total Revenues</b>        | <b>3,350</b> | <b>3,455</b> | <b>3,429</b> | <b>3,273</b> | <b>3,626</b> | <b>3,629</b> | <b>3,802</b> | <b>3,416</b> | <b>3,655</b> | <b>3,547</b> | <b>3,500</b> | <b>3,489</b> |
| Costs                        | (1,244)      | (1,329)      | (1,340)      | (1,310)      | (1,346)      | (1,373)      | (1,463)      | (1,560)      | (1,415)      | (1,389)      | (1,419)      | (1,498)      |
| <b>PPOP</b>                  | <b>2,106</b> | <b>2,126</b> | <b>2,089</b> | <b>1,963</b> | <b>2,280</b> | <b>2,256</b> | <b>2,339</b> | <b>1,856</b> | <b>2,240</b> | <b>2,158</b> | <b>2,080</b> | <b>1,991</b> |
| Loan loss provisions         | (110)        | (239)        | (184)        | (200)        | (169)        | (55)         | (169)        | (297)        | (212)        | (87)         | (213)        | (221)        |
| Other provisions             | (25)         | (39)         | (26)         | (13)         | (25)         | (111)        | (7)          | 84           | (5)          | (33)         | 0            | (21)         |
| Other income                 | 260          | 250          | 254          | 189          | 255          | 243          | 251          | 245          | 274          | 263          | 271          | 315          |
| <b>Pre-Tax</b>               | <b>2,231</b> | <b>2,098</b> | <b>2,133</b> | <b>1,939</b> | <b>2,341</b> | <b>2,333</b> | <b>2,414</b> | <b>1,888</b> | <b>2,297</b> | <b>2,301</b> | <b>2,138</b> | <b>2,064</b> |
| Tax                          | (347)        | (315)        | (345)        | (229)        | (344)        | (310)        | (339)        | (235)        | (390)        | (439)        | (321)        | (258)        |
| Minorities and Hybrids       | (6)          | (72)         | 22           | (88)         | (15)         | (79)         | (101)        | 34           | (24)         | (46)         | (46)         | (61)         |
| <b>Core Reported profits</b> | <b>1,879</b> | <b>1,710</b> | <b>1,810</b> | <b>1,622</b> | <b>1,982</b> | <b>1,944</b> | <b>1,974</b> | <b>1,687</b> | <b>1,883</b> | <b>1,816</b> | <b>1,771</b> | <b>1,745</b> |
| <b>Profits to Equity SHs</b> | <b>1,863</b> | <b>1,694</b> | <b>1,802</b> | <b>1,609</b> | <b>1,965</b> | <b>1,927</b> | <b>1,957</b> | <b>1,670</b> | <b>1,866</b> | <b>1,799</b> | <b>1,754</b> | <b>1,728</b> |

Source: Company reports and J.P. Morgan estimates.

Table 15: OCBC: Quarterly DuPont

|                            | 1Q23         | 2Q23         | 3Q23         | 4Q23         | 1Q24         | 2Q24         | 3Q24         | 4Q24         | 1Q25         | 2Q25         | 3Q25E        | 4Q25E        |
|----------------------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|
| <b>NIM (% of avg. IEA)</b> | <b>2.30%</b> | <b>2.26%</b> | <b>2.27%</b> | <b>2.29%</b> | <b>2.27%</b> | <b>2.20%</b> | <b>2.18%</b> | <b>2.15%</b> | <b>2.04%</b> | <b>1.92%</b> | <b>1.83%</b> | <b>1.81%</b> |
| IEA/Assets                 | 73.2%        | 73.7%        | 73.7%        | 73.3%        | 73.3%        | 74.2%        | 73.9%        | 74.0%        | 74.0%        | 74.4%        | 74.5%        | 74.2%        |
| Margins (% of avg. Assets) | 1.68%        | 1.67%        | 1.67%        | 1.68%        | 1.66%        | 1.63%        | 1.61%        | 1.59%        | 1.51%        | 1.43%        | 1.37%        | 1.34%        |
| Non-IR contribution        | 30.2%        | 30.9%        | 28.4%        | 24.8%        | 32.8%        | 33.0%        | 36.0%        | 28.1%        | 35.8%        | 35.6%        | 36.3%        | 36.6%        |
| Non-IR/Avg. Assets         | 0.72%        | 0.74%        | 0.67%        | 0.56%        | 0.81%        | 0.80%        | 0.91%        | 0.63%        | 0.83%        | 0.79%        | 0.78%        | 0.78%        |
| <b>Revenue/Assets</b>      | <b>2.38%</b> | <b>2.40%</b> | <b>2.35%</b> | <b>2.25%</b> | <b>2.46%</b> | <b>2.43%</b> | <b>2.53%</b> | <b>2.23%</b> | <b>2.32%</b> | <b>2.21%</b> | <b>2.16%</b> | <b>2.13%</b> |
| Cost/Income                | 37.1%        | 38.5%        | 39.1%        | 40.0%        | 37.1%        | 37.8%        | 38.5%        | 45.7%        | 38.7%        | 39.2%        | 40.6%        | 42.9%        |
| C/Assets                   | 0.88%        | 0.92%        | 0.92%        | 0.90%        | 0.91%        | 0.92%        | 0.97%        | 1.02%        | 0.90%        | 0.87%        | 0.88%        | 0.92%        |
| <b>Pre-Provision ROA</b>   | <b>1.50%</b> | <b>1.48%</b> | <b>1.43%</b> | <b>1.35%</b> | <b>1.55%</b> | <b>1.51%</b> | <b>1.56%</b> | <b>1.21%</b> | <b>1.42%</b> | <b>1.35%</b> | <b>1.29%</b> | <b>1.22%</b> |
| LLP/Loans                  | -0.15%       | -0.32%       | -0.25%       | -0.27%       | -0.23%       | -0.07%       | -0.22%       | -0.38%       | -0.26%       | -0.11%       | -0.26%       | -0.27%       |
| Loan/Assets                | 52.3%        | 51.4%        | 51.0%        | 51.1%        | 50.7%        | 50.6%        | 50.7%        | 50.9%        | 50.8%        | 50.5%        | 50.4%        | 50.5%        |
| Other Income/Assets        | 0.17%        | 0.15%        | 0.16%        | 0.12%        | 0.16%        | 0.09%        | 0.16%        | 0.21%        | 0.17%        | 0.14%        | 0.17%        | 0.18%        |
| <b>Operating ROA</b>       | <b>1.42%</b> | <b>1.31%</b> | <b>1.31%</b> | <b>1.21%</b> | <b>1.43%</b> | <b>1.47%</b> | <b>1.45%</b> | <b>1.02%</b> | <b>1.29%</b> | <b>1.29%</b> | <b>1.15%</b> | <b>1.08%</b> |
| Pre-Tax ROA                | 1.59%        | 1.46%        | 1.46%        | 1.33%        | 1.59%        | 1.56%        | 1.61%        | 1.23%        | 1.46%        | 1.44%        | 1.32%        | 1.26%        |
| Tax Rate                   | -15.5%       | -15.0%       | -16.2%       | -11.8%       | -14.7%       | -13.3%       | -14.0%       | -12.5%       | -17.0%       | -19.1%       | -15.0%       | -12.5%       |
| Minorities & Outside Int.  | 0.00%        | -0.05%       | 0.01%        | -0.06%       | -0.01%       | -0.05%       | -0.07%       | 0.02%        | -0.01%       | -0.03%       | -0.03%       | -0.04%       |
| <b>ROA</b>                 | <b>1.32%</b> | <b>1.18%</b> | <b>1.24%</b> | <b>1.11%</b> | <b>1.33%</b> | <b>1.29%</b> | <b>1.30%</b> | <b>1.09%</b> | <b>1.18%</b> | <b>1.12%</b> | <b>1.08%</b> | <b>1.06%</b> |
| <b>RoRWA</b>               | <b>3.21%</b> | <b>2.89%</b> | <b>2.99%</b> | <b>2.67%</b> | <b>3.27%</b> | <b>3.11%</b> | <b>3.27%</b> | <b>2.88%</b> | <b>3.15%</b> | <b>3.02%</b> | <b>2.89%</b> | <b>2.76%</b> |
| Equity/Assets              | 9.19%        | 8.95%        | 8.71%        | 8.90%        | 9.17%        | 9.23%        | 9.26%        | 9.25%        | 9.31%        | 9.26%        | 9.05%        | 9.01%        |
| <b>ROE</b>                 | <b>14.4%</b> | <b>13.2%</b> | <b>14.2%</b> | <b>12.4%</b> | <b>14.5%</b> | <b>14.0%</b> | <b>14.1%</b> | <b>11.8%</b> | <b>12.7%</b> | <b>12.1%</b> | <b>12.0%</b> | <b>11.7%</b> |

Source: Company reports and J.P. Morgan estimates.

## Price Performance



|     | YTD    | 1m    | 3m    | 12m   |
|-----|--------|-------|-------|-------|
| Abs | 2.4%   | 3.1%  | 5.0%  | 21.5% |
| Rel | -10.0% | -2.5% | -5.1% | -9.6% |

## Company Data

|                             |             |
|-----------------------------|-------------|
| Shares O/S (mn)             | 4,495       |
| 52-week range (\$S)         | 17.75-13.61 |
| Market cap (\$ mn)          | 59,756      |
| Exchange rate               | 1.29        |
| Free float (%)              | 85.3%       |
| 3M ADV (mn)                 | 5.51        |
| 3M ADV (\$ mn)              | 70.6        |
| Volatility (90 Day)         | 24          |
| Index                       | FTSTI       |
| BBG ANR (Buy   Hold   Sell) | 4 14 1      |

## Key Metrics (FYE Dec)

| \$S in millions            | FY24A   | FY25E   | FY26E   | FY27E   |
|----------------------------|---------|---------|---------|---------|
| <b>Financial Estimates</b> |         |         |         |         |
| Net interest income        | 9,755   | 9,068   | 8,842   | 9,046   |
| Non interest income        | 4,718   | 5,123   | 5,522   | 5,814   |
| Operating expenses         | (5,742) | (5,721) | (5,912) | (6,050) |
| Adj. PPOP                  | 8,731   | 8,469   | 8,453   | 8,810   |
| Provision for loan losses  | (690)   | (734)   | (869)   | (906)   |
| Adj. PBT                   | 8,976   | 8,800   | 8,760   | 9,205   |
| Adj. net income            | 7,519   | 7,147   | 7,104   | 7,468   |
| Adj. EPS                   | 1.67    | 1.59    | 1.60    | 1.70    |
| BBG EPS                    | 1.71    | 1.59    | 1.65    | 1.71    |
| DPS                        | 1.01    | 1.01    | 1.01    | 1.01    |
| Loans                      | 315,096 | 328,937 | 342,735 | 357,142 |
| Deposits                   | 390,687 | 415,988 | 428,344 | 441,112 |
| Total Assets               | 625,050 | 659,481 | 681,562 | 704,809 |
| <b>Margins and Growth</b>  |         |         |         |         |
| NIM                        | -       | -       | -       | -       |
| <b>Ratios</b>              |         |         |         |         |
| Loan/ Deposit ratio        | 80.7%   | 79.1%   | 80.0%   | 81.0%   |
| NPL / Loans                | 0.9%    | 0.9%    | 1.0%    | 1.0%    |
| Coverage                   | 144.0%  | 142.5%  | 139.5%  | 143.4%  |
| CET 1                      | -       | -       | -       | -       |
| Non-int. income/ Income    | 32.6%   | 36.1%   | 38.4%   | 39.1%   |
| Cost/Income                | 39.7%   | 40.3%   | 41.2%   | 40.7%   |
| LLP/Loans                  | (0.2%)  | (0.2%)  | (0.3%)  | (0.3%)  |
| ROA                        | 1.2%    | 1.1%    | 1.1%    | 1.1%    |
| ROE                        | 13.6%   | 12.2%   | 11.7%   | 11.9%   |
| <b>Valuation</b>           |         |         |         |         |
| Dividend yield             | 5.9%    | 5.9%    | 5.9%    | 5.9%    |
| Adj. P/E                   | 10.2    | 10.7    | 10.7    | 10.1    |
| P/ BV                      | 1.33    | 1.28    | 1.23    | 1.17    |

## Summary Investment Thesis and Valuation

### Investment Thesis

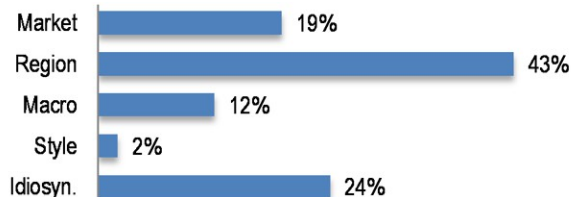
We hold a Neutral rating on OCBC.

- The bank is targeting to deliver S\$3bn incremental revenues by 2025 (vs. 2022), supported by investments in wholesale banking and WM, among others. These are aimed at capturing flows between Asean and Greater China. The targets appear achievable if execution meets expectations, and economic conditions cooperate.
- The shift in capital management including its S\$2.5bn capital return plan over 2Y and dividend payout of ~60% have helped address some of historical concerns on capital. Further, post GE, there is scope for capital management to step up. Yet, the bank's announced management change may weigh on the stock unless the communication from incoming CEO suggests a sharp increase in payouts.

### Valuation

Our Jun-26 PT of S\$17.5 is based on a fair P/B of 1.19x, assuming a normalized RoE of 12.2%, a risk-free rate of 4.7%, a cost of capital of 10.4% and a growth rate of 1.0%.

## Performance Drivers



| Factors                            | 6M Corr | 1Y Corr |
|------------------------------------|---------|---------|
| <b>Market:</b> MSCI Asia Pac ex JP | 0.77    | 0.44    |
| <b>Region:</b> Singapore           | 0.66    | 0.76    |
| <b>Macro:</b>                      |         |         |
| HSI Volatility Index               | -0.56   | -0.59   |
| JPM China A-shares Sentiment       | -0.11   | -0.34   |
| US 10 Year Yield                   | -0.32   | -0.25   |
| <b>Quant Styles:</b>               |         |         |
| Growth                             | 0.04    | 0.37    |
| Momentum                           | 0.04    | 0.26    |
| DivYld                             | 0.08    | -0.24   |

## Investment Thesis, Valuation and Risks

### OCBC Bank *(Neutral; Price Target: S\$17.50)*

#### Investment Thesis

We hold a Neutral rating on OCBC.

- The bank is targeting to deliver S\$3bn incremental revenues by 2025 (vs. 2022), supported by investments in wholesale banking and WM, among others. These are aimed at capturing flows between Asean and Greater China. The targets appear achievable if execution meets expectations, and economic conditions cooperate.
- The shift in capital management including its S\$2.5bn capital return plan over 2Y and dividend payout of ~60% have helped address some of historical concerns on capital. Further, post GE, there is scope for capital management to step up. Yet, the bank's announced management change may weigh on the stock unless the communication from incoming CEO suggests a sharp increase in payouts.
- Apart from increased dividends and buybacks, another potential use of capital could be via M&A; else, we see ROEs coming off in next 3Y on lower NIM. If a transaction were to be announced, share price moves would be a function of pricing and fit.
- We expect 28bps/12bps NIM compression in FY25/26E, following a sharp 28bps decline over the last 4 quarters, as well as declines in SORA and HIBOR. OCBC has 38% of loans in SGD and 10% in HKD.
- The bank has expanded inorganically over the last 10-15 years, with Wing Hang and Bank of Ningbo being notable transactions. There appears to be a commitment to deepen this presence, with capabilities being broadened in the GBA and HK markets, among others. This could lead to near-term risks if the growth in Greater China is via inorganic means and transactions are not immediately accretive.

#### Valuation

Our Jun-26 PT of S\$17.5 is based on a fair P/B of 1.19x, assuming a normalized RoE of 12.2%, a risk-free rate of 4.7%, a cost of capital of 10.4% and a growth rate of 1.0%.

#### Risks to Rating and Price Target

Upside risks include a significant improvement in DPS, meaningfully value-accretive deal, better than-expected growth at GE, and better-than-expected WM fees. Bank of Ningbo (20%-owned by OCBC) has competitive advantages in local SMEs and high-net-worth retail clients, which can drive faster growth at the group.

Downside risks include weaker than expected NIM, market share losses in wealth management, and M&A, if transactions are not immediately accretive.

## OCBC Bank: Summary of Financials

| Income Statement                |               |               |               |               |               | Balance Sheet                                   |                |                |                |                |                |
|---------------------------------|---------------|---------------|---------------|---------------|---------------|-------------------------------------------------|----------------|----------------|----------------|----------------|----------------|
|                                 | FY23A         | FY24A         | FY25E         | FY26E         | FY27E         |                                                 | FY23A          | FY24A          | FY25E          | FY26E          | FY27E          |
| Interest income                 | 20,867        | 22,444        | 20,039        | 19,113        | 19,154        | Cash and cash equivalents                       | 0              | 0              | 0              | 0              | 0              |
| Interest expense                | (11,222)      | (12,689)      | (10,971)      | (10,270)      | (10,108)      | Deposits with banks                             | 72,337         | 77,006         | 80,163         | 79,823         | 79,727         |
| <b>Net interest income</b>      | <b>9,645</b>  | <b>9,755</b>  | <b>9,068</b>  | <b>8,842</b>  | <b>9,046</b>  | Net loans                                       | 292,754        | 315,096        | 328,937        | 342,735        | 357,142        |
| Non interest income             | 3,862         | 4,718         | 5,123         | 5,522         | 5,814         | PP&E                                            | 3,528          | 3,725          | 3,800          | 3,989          | 4,189          |
| o/w Fee income                  | 1,804         | 1,970         | 2,246         | 2,425         | 2,571         | Net intangibles                                 | 4,501          | 4,504          | 4,504          | 4,504          | 4,504          |
| o/w Trading income              | 1,250         | 1,831         | 1,795         | 1,950         | 2,028         | LT investments                                  | 102,200        | 113,454        | 124,799        | 128,543        | 132,400        |
| <b>Net revenues</b>             | <b>13,507</b> | <b>14,473</b> | <b>14,191</b> | <b>14,365</b> | <b>14,860</b> | Other assets                                    | 106,104        | 111,265        | 117,277        | 121,968        | 126,847        |
| Non interest expense            | (5,223)       | (5,742)       | (5,721)       | (5,912)       | (6,050)       | <b>Total assets</b>                             | <b>581,424</b> | <b>625,050</b> | <b>659,481</b> | <b>681,562</b> | <b>704,809</b> |
| o/w Employee costs              | 0             | 0             | 0             | 0             | 0             | Interest earning assets                         | 451,211        | 484,270        | 510,493        | 527,226        | 544,917        |
| <b>Pre-Prov. Profits</b>        | <b>8,284</b>  | <b>8,731</b>  | <b>8,469</b>  | <b>8,453</b>  | <b>8,810</b>  | Deposits                                        | 363,770        | 390,687        | 415,988        | 428,344        | 441,112        |
| Provisions                      | (733)         | (690)         | (734)         | (869)         | (906)         | Borrowings                                      | 26,553         | 31,553         | 32,184         | 33,793         | 35,483         |
| <b>Adj. PBT</b>                 | <b>8,401</b>  | <b>8,976</b>  | <b>8,800</b>  | <b>8,760</b>  | <b>9,205</b>  | Other liabilities                               | 136,797        | 144,130        | 150,598        | 156,842        | 163,349        |
| Income taxes                    | (1,236)       | (1,228)       | (1,408)       | (1,402)       | (1,473)       | <b>Total liabilities</b>                        | <b>527,120</b> | <b>566,370</b> | <b>598,770</b> | <b>618,979</b> | <b>639,944</b> |
| Minority interest               | (144)         | (161)         | (177)         | (186)         | (195)         | Shareholder equity                              | 52,920         | 57,616         | 59,646         | 61,519         | 63,801         |
| <b>Adj. Net profit</b>          | <b>6,986</b>  | <b>7,519</b>  | <b>7,147</b>  | <b>7,104</b>  | <b>7,468</b>  | Minority interests                              | 1,384          | 1,064          | 1,064          | 1,064          | 1,064          |
| PPOP per share                  | 1.84          | 1.94          | 1.89          | 1.90          | 2.00          | <b>Total liabilities and Shareholder equity</b> | <b>581,424</b> | <b>625,050</b> | <b>659,481</b> | <b>681,562</b> | <b>704,809</b> |
| Reported EPS                    | 1.55          | 1.67          | 1.59          | 1.60          | 1.70          | Interest bearing liabilities                    | 401,207        | 433,805        | 460,894        | 475,368        | 490,355        |
| <b>Adj. EPS</b>                 | <b>1.55</b>   | <b>1.67</b>   | <b>1.59</b>   | <b>1.60</b>   | <b>1.70</b>   | Book Value Per Share                            | 11.78          | 12.80          | 13.38          | 13.94          | 14.60          |
| <b>DPS</b>                      | <b>0.82</b>   | <b>1.01</b>   | <b>1.01</b>   | <b>1.01</b>   | <b>1.01</b>   | Tangible Book Value Per Share                   | 11.47          | 12.57          | 13.14          | 13.69          | 14.35          |
| Diluted shares outstanding      | 4,507         | 4,502         | 4,485         | 4,442         | 4,398         |                                                 |                |                |                |                |                |
| <b>Balance Sheet Gearing</b>    | <b>FY23A</b>  | <b>FY24A</b>  | <b>FY25E</b>  | <b>FY26E</b>  | <b>FY27E</b>  | <b>Asset Quality/Capital</b>                    | <b>FY23A</b>   | <b>FY24A</b>   | <b>FY25E</b>   | <b>FY26E</b>   | <b>FY27E</b>   |
| Loans/Deposits                  | 80.5%         | 80.7%         | 79.1%         | 80.0%         | 81.0%         | Loan loss reserves/Loans                        | (1.3%)         | (1.3%)         | (1.3%)         | (1.4%)         | (1.4%)         |
| Investment/Assets               | 16.8%         | 17.9%         | 18.5%         | 18.9%         | 18.8%         | NPLs/Loans                                      | 0.9%           | 0.9%           | 0.9%           | 1.0%           | 1.0%           |
| Loan/Assets                     | 51.8%         | 51.0%         | 50.8%         | 50.8%         | 51.2%         | Loan loss reserves/NPLs                         | 119.8%         | 141.5%         | 143.2%         | 140.9%         | 141.5%         |
| Customer deposits/Liabilities   | 69.0%         | 69.0%         | 69.5%         | 69.2%         | 68.9%         | NPL y/y growth                                  | (17.1%)        | 0.8%           | 11.3%          | 10.6%          | 5.0%           |
| LT debt/Liabilities             | 4.7%          | 5.3%          | 5.5%          | 5.4%          | 5.5%          | Tier 1 ratio                                    | 16.5%          | 17.8%          | 17.1%          | 16.6%          | 16.2%          |
| <b>Ratio Analysis (%)</b>       | <b>FY23A</b>  | <b>FY24A</b>  | <b>FY25E</b>  | <b>FY26E</b>  | <b>FY27E</b>  | CAR                                             | -              | -              | -              | -              | -              |
| Net interest margin             | 28.6%         | 32.6%         | 36.1%         | 38.4%         | 39.1%         | <b>Ratio Analysis (%)</b>                       | <b>FY23A</b>   | <b>FY24A</b>   | <b>FY25E</b>   | <b>FY26E</b>   | <b>FY27E</b>   |
| Non interest income/Net revenue | 0.7%          | 0.8%          | 0.8%          | 0.8%          | 0.8%          | Return on equity (ROE)                          | 13.4%          | 13.6%          | 12.2%          | 11.7%          | 11.9%          |
| Non interest income/Avg. Assets | 38.7%         | 39.7%         | 40.3%         | 41.2%         | 40.7%         | Return on assets (ROA)                          | 1.2%           | 1.2%           | 1.1%           | 1.1%           | 1.1%           |
| Efficiency ratio                | 6.8%          | 7.0%          | 6.8%          | 6.6%          | 6.7%          | Operating ROA                                   | 1.3%           | 1.3%           | 1.2%           | 1.1%           | 1.1%           |
| Leverage ratio                  | 2.4%          | 2.4%          | 2.2%          | 2.1%          | 2.1%          | Pre-Tax ROA                                     | 1.5%           | 1.5%           | 1.4%           | 1.3%           | 1.3%           |
| Revenue/Assets                  | 3.0%          | 3.2%          | 2.9%          | 2.7%          | 2.7%          | Pre-Provision ROA                               | 1.5%           | 1.4%           | 1.3%           | 1.3%           | 1.3%           |
| RORWA                           | 236,694       | 236,288       | 253,900       | 269,217       | 285,448       | Tax rate                                        | 14.7%          | 13.7%          | 16.0%          | 16.0%          | 16.0%          |
| Avg. RWA                        | 234,171       | 236,491       | 245,094       | 261,559       | 277,332       | Net loans y/y growth                            | 0.4%           | 7.6%           | 4.4%           | 4.2%           | 4.2%           |
| Avg. IEA                        | 423,065       | 443,419       | 471,519       | 491,880       | 508,197       | Assets y/y growth                               | 3.8%           | 7.5%           | 5.5%           | 3.3%           | 3.4%           |
| Gross Loans                     | 296,653       | 319,166       | 333,422       | 347,588       | 362,380       | RWA y/y growth                                  | 2.2%           | (0.2%)         | 7.5%           | 6.0%           | 6.0%           |
| Avg. IBL                        | 395,876       | 414,257       | 443,868       | 464,488       | 479,104       | Deposits y/y growth                             | 3.9%           | 7.4%           | 6.5%           | 3.0%           | 3.0%           |
| LLR                             | (3,899)       | (4,070)       | (4,484)       | (4,853)       | (5,238)       | Net interest income y/y growth                  | 25.5%          | 1.1%           | (7.0%)         | (2.5%)         | 2.3%           |
| NPLs                            | 2,805         | 2,827         | 3,146         | 3,480         | 3,653         | Revenues y/y growth                             | 15.7%          | 7.2%           | (1.9%)         | 1.2%           | 3.5%           |
| P/BV (x)                        | 1.45          | 1.33          | 1.28          | 1.23          | 1.17          | Adj. EPS y/y growth                             | 22.0%          | 7.7%           | (4.6%)         | 0.4%           | 6.2%           |
| Adj. P/E (x)                    | 11.0          | 10.2          | 10.7          | 10.7          | 10.1          | BVPS y/y growth                                 | 3.0%           | 8.7%           | 4.5%           | 4.2%           | 4.8%           |
| Dividend yield                  | 4.8%          | 5.9%          | 5.9%          | 5.9%          | 5.9%          | IE assets/Assets                                | 74.1%          | 73.5%          | 73.4%          | 73.4%          | 73.3%          |
| Dividend payout                 | 52.9%         | 60.5%         | 63.4%         | 63.2%         | 59.5%         | Margins (as % of Avg. Assets)                   | 1.6%           | 1.5%           | 1.3%           | 1.3%           | 1.2%           |
|                                 |               |               |               |               |               | LLP/Loans                                       | (0.2%)         | (0.2%)         | (0.2%)         | (0.3%)         | (0.3%)         |
|                                 |               |               |               |               |               | Equity/Assets                                   | 9.1%           | 9.2%           | 9.1%           | 9.0%           | 9.0%           |
|                                 |               |               |               |               |               | Cost/Assets                                     | 0.9%           | 1.0%           | 0.9%           | 0.9%           | 0.9%           |
|                                 |               |               |               |               |               | Assets/Equity                                   | 10.9           | 10.9           | 11.0           | 11.1           | 11.1           |

Source: Company reports and J.P. Morgan estimates.

Note: \$S in millions (except per-share data). Fiscal year ends Dec

## Neutral

### UOBH.SI, UOB SP

Price (07 Aug 25): S\$35.81

▼ **Price Target (Jun-26): S\$36.50**

Prior (Jun-26): S\$38.00

### APAC Banks

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J.P. Morgan Securities (Asia Pacific) Limited/ J.P.  
Morgan Broking (Hong Kong) Limited

### Key Changes (FYE Dec)

|                      | Prev | Cur  |
|----------------------|------|------|
| Adj. EPS - 25E (S\$) | 3.53 | 3.36 |
| Adj. EPS - 26E (S\$) | 3.68 | 3.50 |

### Quarterly Forecasts (FYE Dec)

| Adj. EPS (S\$) | 2024A | 2025E | 2026E |
|----------------|-------|-------|-------|
| Q1             | 0.87  | 0.88A |       |
| Q2             | 0.84  | 0.79A |       |
| Q3             | 0.95  | 0.83  |       |
| Q4             | 0.90  | 0.86  |       |
| FY             | 3.56  | 3.36  | 3.50  |

### Style Exposure

| Quant Factors | Current %Rank | Hist %Rank (1=Top) |    |    |    |  |
|---------------|---------------|--------------------|----|----|----|--|
|               |               | 6M                 | 1Y | 3Y | 5Y |  |
| Value         | 1             | 1                  | 1  | 4  | 10 |  |
| Growth        | 29            | 19                 | 35 | 10 | 66 |  |
| Momentum      | 69            | 22                 | 19 | 51 | 79 |  |
| Quality       | 16            | 16                 | 13 | 13 | 29 |  |
| Low Vol       | 22            | 7                  | 7  | 26 | 7  |  |
| ESGQ          | 17            | 75                 | 80 | 12 | 14 |  |

## United Overseas Bank (UOB)

### Lower yield, weaker delivery

We are reducing our FY25-26E EPS estimates by 5%, largely driven by lower NIM forecasts; driving a lower Jun-26 PT of S\$36.5 (from S\$38). We expect FY25 NIM to average 1.87%, vs. guidance of 1.85-1.90%, with 2H NIM at 1.79% vs. 1.84% 2Q exit NIM. Management guidance is in line with expectations of a HIBOR rebound and modest decline in SORA (~1.7%), which could suggest downside if rates decline further. On the other hand, adjustments to UOB One Account could provide some offset. The bank is guiding to increasing GP buffers over the medium-term (from 80bps of performing loans to 90bps), and accordingly, we expect credit costs to remain elevated at 32/35bps in the next 2 quarters. We factor in 50% payout in 2026/27E, leading to the lowest dividend yield among Singapore banks (4.9%/5.4%).

## Valuation

Table 16: UOB: Valuation

|                      | Net Inc<br>(S\$ mn) | EPS<br>(S\$)             | P/E<br>(x) | BVPS<br>(S\$) | P/B<br>(x) | Dividend<br>(S\$)   | Div Yld<br>(%)              | RoA<br>(%) | RoRWA<br>(%) | RoE<br>(%) |         |
|----------------------|---------------------|--------------------------|------------|---------------|------------|---------------------|-----------------------------|------------|--------------|------------|---------|
| 2020                 | 2,825               | 1.69                     | 21.2       | 23.0          | 1.56       | 0.78                | 2.2%                        | 0.68%      | 1.25%        | 7.5%       |         |
| 2021                 | 4,003               | 2.39                     | 15.0       | 24.1          | 1.49       | 1.20                | 3.4%                        | 0.90%      | 1.65%        | 10.2%      |         |
| 2022                 | 4,485               | 2.68                     | 13.4       | 24.2          | 1.48       | 1.35                | 3.8%                        | 0.98%      | 1.73%        | 11.7%      |         |
| 2023                 | 5,615               | 3.36                     | 10.7       | 26.0          | 1.38       | 1.70                | 4.7%                        | 1.16%      | 2.10%        | 14.2%      |         |
| 2024                 | 5,946               | 3.56                     | 10.1       | 28.1          | 1.27       | 2.05                | 5.7%                        | 1.16%      | 2.22%        | 13.6%      |         |
| 2025E                | 5,577               | 3.36                     | 10.7       | 29.1          | 1.23       | 1.93                | 5.4%                        | 1.02%      | 2.07%        | 11.7%      |         |
| 2026E                | 5,747               | 3.50                     | 10.2       | 30.7          | 1.17       | 1.75                | 4.9%                        | 1.01%      | 2.01%        | 11.7%      |         |
| 2027E                | 6,304               | 3.89                     | 9.2        | 32.6          | 1.10       | 1.94                | 5.4%                        | 1.06%      | 2.09%        | 12.3%      |         |
|                      |                     |                          |            |               |            |                     |                             |            |              |            |         |
| Price (S\$)          | 35.81               | Number of shares (mn)    |            |               | 1,672      | Market Cap (S\$ mn) |                             |            | 59,890       |            |         |
| Normalised RoE       |                     | PB based Valuation       |            |               |            | PE based Valuation  |                             |            |              |            |         |
| NIM (on avg. assets) | 1.61%               | Risk-free rate           |            |               |            | 4.50%               | Fair PE                     |            |              |            | 9.79x   |
| Non-IR/revenues      | 35.4%               | Cost of capital          |            |               |            | 10.3%               | 12m Rolling EPS             |            |              |            | S\$3.44 |
| Cost/income          | 43.9%               | Long term growth         |            |               |            | 0.50%               | PE based 12M Fwd Fair Value |            |              |            | S\$33.7 |
| Operating RoA        | 1.40%               | Fair PB                  |            |               |            | 1.15x               | Implied Value of Growth     |            |              |            |         |
| LLP/Loans            | -0.30%              | PV of Terminal Value     |            |               |            | S\$31.3             | 12m Rolling EPS             |            |              |            | S\$3.44 |
| Net RoAA             | 1.01%               | PV of Dividends          |            |               |            | S\$1.9              | Capitalized Value (S\$)     |            |              |            | \$33.52 |
| Equity/Assets        | 8.6%                | PV of today's Fair Value |            |               |            | S\$33.1             | Value of Growth (S\$)       |            |              |            | \$2.29  |
| Normalised RoE       | 11.7%               | PV of Jun-26E fair value |            |               |            | S\$36.6             | Attributable to Growth      |            |              |            | 6.4%    |

## Annual forecasts

Table 17: UOB: Annual P&L

| S\$ in million              | 2015         | 2016         | 2017         | 2018         | 2019          | 2020         | 2021         | 2022          | 2023          | 2024          | 2025E         | 2026E         | 2027E         |
|-----------------------------|--------------|--------------|--------------|--------------|---------------|--------------|--------------|---------------|---------------|---------------|---------------|---------------|---------------|
| Interest Income             | 7,826        | 8,291        | 9,077        | 11,141       | 12,557        | 9,623        | 8,204        | 12,862        | 22,242        | 23,259        | 20,279        | 19,018        | 19,313        |
| Interest Expense            | (2,900)      | (3,300)      | (3,548)      | (4,921)      | (5,994)       | (3,587)      | (1,816)      | (4,519)       | (12,563)      | (13,585)      | (11,057)      | (10,045)      | (9,900)       |
| <b>Net Interest Income</b>  | <b>4,926</b> | <b>4,991</b> | <b>5,528</b> | <b>6,220</b> | <b>6,563</b>  | <b>6,036</b> | <b>6,388</b> | <b>8,343</b>  | <b>9,679</b>  | <b>9,674</b>  | <b>9,222</b>  | <b>8,973</b>  | <b>9,413</b>  |
| <b>Non-Interest Income</b>  | <b>3,122</b> | <b>3,071</b> | <b>3,323</b> | <b>2,896</b> | <b>3,467</b>  | <b>3,141</b> | <b>3,401</b> | <b>3,232</b>  | <b>4,253</b>  | <b>4,620</b>  | <b>4,794</b>  | <b>5,256</b>  | <b>5,667</b>  |
| Net Fee income              | 1,883        | 1,931        | 2,161        | 1,966        | 2,032         | 1,997        | 2,412        | 2,143         | 2,235         | 2,395         | 2,658         | 2,871         | 3,043         |
| Trading income              | 954          | 877          | 902          | 648          | 1,116         | 880          | 730          | 829           | 1,690         | 2,003         | 1,803         | 2,019         | 2,221         |
| Other operating income      | 285          | 263          | 260          | 282          | 319           | 264          | 259          | 260           | 328           | 222           | 333           | 366           | 403           |
| <b>Total Revenues</b>       | <b>8,048</b> | <b>8,061</b> | <b>8,851</b> | <b>9,116</b> | <b>10,030</b> | <b>9,177</b> | <b>9,789</b> | <b>11,575</b> | <b>13,932</b> | <b>14,294</b> | <b>14,016</b> | <b>14,230</b> | <b>15,080</b> |
| Costs                       | (3,530)      | (3,696)      | (4,027)      | (4,003)      | (4,472)       | (4,184)      | (4,313)      | (5,016)       | (5,777)       | (6,074)       | (6,147)       | (6,244)       | (6,369)       |
| <b>PPOP</b>                 | <b>4,518</b> | <b>4,365</b> | <b>4,824</b> | <b>5,113</b> | <b>5,558</b>  | <b>4,992</b> | <b>5,476</b> | <b>6,559</b>  | <b>8,155</b>  | <b>8,220</b>  | <b>7,869</b>  | <b>7,986</b>  | <b>8,711</b>  |
| Loan loss provisions        | (588)        | (571)        | (660)        | (395)        | (450)         | (1,595)      | (629)        | (627)         | (784)         | (873)         | (1,150)       | (1,094)       | (1,157)       |
| Other provisions            | (84)         | (23)         | (67)         | 2            | 15            | 42           | (28)         | 21            | (161)         | (81)          | (16)          | -             | -             |
| Other income                | 90           | 6            | 110          | 106          | 51            | 98           | 118          | 97            | 93            | 121           | 109           | 125           | 131           |
| <b>Pre-Tax</b>              | <b>3,936</b> | <b>3,777</b> | <b>4,207</b> | <b>4,826</b> | <b>5,174</b>  | <b>3,536</b> | <b>4,937</b> | <b>6,050</b>  | <b>7,303</b>  | <b>7,387</b>  | <b>6,812</b>  | <b>7,016</b>  | <b>7,685</b>  |
| Tax                         | (649)        | (669)        | (800)        | (805)        | (813)         | (606)        | (850)        | (1,221)       | (1,228)       | (1,140)       | (1,124)       | (1,158)       | (1,268)       |
| MI & EO                     | (11)         | (12)         | (16)         | (13)         | (18)          | (15)         | (12)         | (10)          | (14)          | (14)          | (13)          | (13)          | (15)          |
| <b>Core Profit</b>          | <b>3,276</b> | <b>3,096</b> | <b>3,390</b> | <b>4,008</b> | <b>4,343</b>  | <b>2,915</b> | <b>4,075</b> | <b>4,819</b>  | <b>6,061</b>  | <b>6,233</b>  | <b>5,675</b>  | <b>5,845</b>  | <b>6,403</b>  |
| <b>Attributable profits</b> | <b>3,170</b> | <b>3,012</b> | <b>3,288</b> | <b>3,898</b> | <b>4,249</b>  | <b>2,825</b> | <b>4,003</b> | <b>4,731</b>  | <b>5,965</b>  | <b>6,134</b>  | <b>5,577</b>  | <b>5,747</b>  | <b>6,304</b>  |

Source: Company data, J.P. Morgan estimates.

Table 18: UOB: Annual DuPont

|                            | 2015         | 2016         | 2017         | 2018         | 2019         | 2020         | 2021         | 2022         | 2023         | 2024         | 2025E        | 2026E        | 2027E        |
|----------------------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|
| <b>NIM (% of avg. IEA)</b> | <b>1.77%</b> | <b>1.71%</b> | <b>1.77%</b> | <b>1.82%</b> | <b>1.78%</b> | <b>1.57%</b> | <b>1.56%</b> | <b>1.86%</b> | <b>2.09%</b> | <b>2.03%</b> | <b>1.87%</b> | <b>1.75%</b> | <b>1.75%</b> |
| IEA/Assets                 | 89.3%        | 89.0%        | 89.4%        | 91.6%        | 93.0%        | 91.9%        | 92.0%        | 93.1%        | 90.1%        | 89.8%        | 90.1%        | 90.1%        | 90.2%        |
| Margins (% of avg. Assets) | 1.58%        | 1.52%        | 1.58%        | 1.67%        | 1.66%        | 1.44%        | 1.43%        | 1.73%        | 1.88%        | 1.82%        | 1.69%        | 1.58%        | 1.58%        |
| Non-IR contribution        | 38.8%        | 38.1%        | 37.5%        | 31.8%        | 34.6%        | 34.2%        | 34.7%        | 27.9%        | 30.5%        | 32.3%        | 34.2%        | 36.9%        | 37.6%        |
| Non-IR/Avg. Assets         | 1.00%        | 0.94%        | 0.95%        | 0.78%        | 0.87%        | 0.75%        | 0.76%        | 0.67%        | 0.83%        | 0.87%        | 0.88%        | 0.92%        | 0.95%        |
| Revenue/Assets             | 2.58%        | 2.46%        | 2.53%        | 2.44%        | 2.53%        | 2.19%        | 2.20%        | 2.40%        | 2.71%        | 2.69%        | 2.56%        | 2.50%        | 2.53%        |
| Cost/Income                | 43.9%        | 45.9%        | 45.5%        | 43.9%        | 44.6%        | 45.6%        | 44.1%        | 43.3%        | 41.5%        | 42.5%        | 43.9%        | 43.9%        | 42.2%        |
| C/Assets                   | 1.13%        | 1.13%        | 1.15%        | 1.07%        | 1.13%        | 1.00%        | 0.97%        | 1.04%        | 1.12%        | 1.14%        | 1.12%        | 1.10%        | 1.07%        |
| <b>Pre-Provision ROA</b>   | <b>1.45%</b> | <b>1.33%</b> | <b>1.38%</b> | <b>1.37%</b> | <b>1.40%</b> | <b>1.19%</b> | <b>1.23%</b> | <b>1.36%</b> | <b>1.59%</b> | <b>1.55%</b> | <b>1.44%</b> | <b>1.40%</b> | <b>1.46%</b> |
| LLP/Loans                  | -0.3%        | -0.3%        | -0.29%       | -0.16%       | -0.17%       | -0.58%       | -0.21%       | -0.20%       | -0.24%       | -0.26%       | -0.34%       | -0.31%       | -0.31%       |
| Loan/Assets                | 65.3%        | 66.0%        | 66.1%        | 66.7%        | 66.9%        | 65.8%        | 66.5%        | 65.4%        | 62.3%        | 62.1%        | 62.8%        | 62.7%        | 62.8%        |
| Other Income/Assets        | 0.00%        | -0.01%       | 0.01%        | 0.03%        | 0.02%        | 0.03%        | 0.02%        | 0.02%        | -0.01%       | 0.01%        | 0.02%        | 0.02%        | 0.02%        |
| <b>Operating ROA</b>       | <b>1.26%</b> | <b>1.16%</b> | <b>1.19%</b> | <b>1.26%</b> | <b>1.29%</b> | <b>0.81%</b> | <b>1.09%</b> | <b>1.23%</b> | <b>1.43%</b> | <b>1.38%</b> | <b>1.23%</b> | <b>1.21%</b> | <b>1.27%</b> |
| Pre-Tax ROA                | 1.26%        | 1.15%        | 1.20%        | 1.29%        | 1.31%        | 0.85%        | 1.11%        | 1.26%        | 1.42%        | 1.39%        | 1.25%        | 1.23%        | 1.29%        |
| Tax Rate                   | -16.5%       | -17.7%       | -19.0%       | -16.7%       | -15.7%       | -17.1%       | -17.2%       | -20.2%       | -16.8%       | -15.4%       | -16.5%       | -16.5%       | -16.5%       |
| Minorities & Outside Int.  | 0.00%        | 0.00%        | 0.00%        | 0.00%        | 0.00%        | 0.00%        | 0.00%        | 0.00%        | 0.00%        | 0.00%        | 0.00%        | 0.00%        | 0.00%        |
| <b>Core ROA</b>            | <b>1.02%</b> | <b>0.92%</b> | <b>0.94%</b> | <b>1.04%</b> | <b>1.07%</b> | <b>0.68%</b> | <b>0.90%</b> | <b>0.98%</b> | <b>1.16%</b> | <b>1.16%</b> | <b>1.02%</b> | <b>1.01%</b> | <b>1.06%</b> |
| <b>ROA</b>                 | <b>1.00%</b> | <b>0.92%</b> | <b>0.94%</b> | <b>1.04%</b> | <b>1.07%</b> | <b>0.68%</b> | <b>0.90%</b> | <b>0.93%</b> | <b>1.09%</b> | <b>1.12%</b> | <b>1.02%</b> | <b>1.01%</b> | <b>1.06%</b> |
| <b>RoRWA</b>               | <b>1.64%</b> | <b>1.45%</b> | <b>1.58%</b> | <b>1.86%</b> | <b>1.90%</b> | <b>1.25%</b> | <b>1.65%</b> | <b>1.73%</b> | <b>2.10%</b> | <b>2.22%</b> | <b>2.07%</b> | <b>2.01%</b> | <b>2.09%</b> |
| Equity/Assets              | 8.99%        | 9.05%        | 9.25%        | 9.29%        | 9.18%        | 9.06%        | 8.84%        | 8.39%        | 8.18%        | 8.52%        | 8.69%        | 8.62%        | 8.59%        |
| <b>Core ROE</b>            | <b>11.3%</b> | <b>10.1%</b> | <b>10.2%</b> | <b>11.2%</b> | <b>11.7%</b> | <b>7.5%</b>  | <b>10.2%</b> | <b>11.7%</b> | <b>14.2%</b> | <b>13.6%</b> | <b>11.7%</b> | <b>11.7%</b> | <b>12.3%</b> |
| <b>ROE</b>                 | <b>11.1%</b> | <b>10.1%</b> | <b>10.2%</b> | <b>11.2%</b> | <b>11.7%</b> | <b>7.5%</b>  | <b>10.2%</b> | <b>11.1%</b> | <b>13.4%</b> | <b>13.1%</b> | <b>11.7%</b> | <b>11.7%</b> | <b>12.3%</b> |

Source: Company data, J.P. Morgan estimates.

## Quarterly forecasts

Table 19: UOB: Quarterly P&L

| \$S in million             | 1Q23         | 2Q23         | 3Q23         | 4Q23         | 1Q24         | 2Q24         | 3Q24         | 4Q24         | 1Q25         | 2Q25         | 3Q25E        | 4Q25E        |
|----------------------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|
| Interest Income            | 5,152        | 5,451        | 5,692        | 5,947        | 5,855        | 5,706        | 5,791        | 5,907        | 5,630        | 5,042        | 4,820        | 4,787        |
| Interest Expense           | (2,743)      | (3,014)      | (3,263)      | (3,543)      | (3,493)      | (3,305)      | (3,331)      | (3,456)      | (3,221)      | (2,706)      | (2,584)      | (2,546)      |
| <b>Net Interest Income</b> | <b>2,409</b> | <b>2,437</b> | <b>2,429</b> | <b>2,404</b> | <b>2,362</b> | <b>2,401</b> | <b>2,460</b> | <b>2,451</b> | <b>2,409</b> | <b>2,336</b> | <b>2,236</b> | <b>2,241</b> |
| <b>Non-Interest Income</b> | <b>1,115</b> | <b>1,104</b> | <b>1,027</b> | <b>1,007</b> | <b>1,161</b> | <b>1,075</b> | <b>1,374</b> | <b>1,010</b> | <b>1,248</b> | <b>1,129</b> | <b>1,185</b> | <b>1,232</b> |
| Net Fee income             | 552          | 524          | 591          | 568          | 580          | 618          | 630          | 567          | 694          | 636          | 649          | 680          |
| Trading income             | 474          | 478          | 375          | 363          | 521          | 406          | 709          | 367          | 466          | 414          | 455          | 467          |
| Other operating income     | 89           | 102          | 61           | 76           | 60           | 51           | 35           | 76           | 88           | 79           | 81           | 85           |
| <b>Total Revenues</b>      | <b>3,524</b> | <b>3,541</b> | <b>3,456</b> | <b>3,411</b> | <b>3,523</b> | <b>3,476</b> | <b>3,834</b> | <b>3,461</b> | <b>3,657</b> | <b>3,465</b> | <b>3,421</b> | <b>3,473</b> |
| Costs                      | (1,440)      | (1,448)      | (1,416)      | (1,473)      | (1,475)      | (1,452)      | (1,590)      | (1,558)      | (1,559)      | (1,535)      | (1,538)      | (1,515)      |
| <b>PPOP</b>                | <b>2,084</b> | <b>2,093</b> | <b>2,040</b> | <b>1,938</b> | <b>2,048</b> | <b>2,024</b> | <b>2,244</b> | <b>1,903</b> | <b>2,097</b> | <b>1,930</b> | <b>1,883</b> | <b>1,958</b> |
| Loan loss provisions       | (192)        | (238)        | (151)        | (203)        | (186)        | (194)        | (281)        | (212)        | (290)        | (279)        | (277)        | (304)        |
| Other provisions           | 18           | (132)        | (91)         | 44           | 16           | (44)         | (30)         | (23)         | (7)          | (9)          | 0            | 0            |
| Other income               | 25           | 26           | 20           | 22           | 26           | 30           | 25           | 40           | 22           | (3)          | 40           | 50           |
| <b>Pre-Tax</b>             | <b>1,935</b> | <b>1,749</b> | <b>1,818</b> | <b>1,801</b> | <b>1,904</b> | <b>1,816</b> | <b>1,958</b> | <b>1,708</b> | <b>1,822</b> | <b>1,639</b> | <b>1,646</b> | <b>1,705</b> |
| Tax                        | (345)        | (208)        | (305)        | (370)        | (317)        | (307)        | (299)        | (219)        | (310)        | (317)        | (263)        | (234)        |
| MI & EO                    | (13)         | (34)         | (34)         | 67           | (22)         | (22)         | (22)         | 51           | (22)         | 16           | 16           | (23)         |
| <b>Core Profit</b>         | <b>1,577</b> | <b>1,507</b> | <b>1,479</b> | <b>1,498</b> | <b>1,566</b> | <b>1,488</b> | <b>1,638</b> | <b>1,540</b> | <b>1,490</b> | <b>1,338</b> | <b>1,398</b> | <b>1,448</b> |
| <b>Attributable profit</b> | <b>1,510</b> | <b>1,415</b> | <b>1,382</b> | <b>1,404</b> | <b>1,487</b> | <b>1,424</b> | <b>1,610</b> | <b>1,523</b> | <b>1,490</b> | <b>1,338</b> | <b>1,398</b> | <b>1,448</b> |

Source: Company data, J.P. Morgan estimates.

Table 20: UOB: Quarterly DuPont

|                            | 1Q23         | 2Q23         | 3Q23         | 4Q23         | 1Q24         | 2Q24         | 3Q24         | 4Q24         | 1Q25         | 2Q25         | 3Q25E        | 4Q25E        |
|----------------------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|
| <b>NIM (% of avg. IEA)</b> | <b>2.14%</b> | <b>2.12%</b> | <b>2.09%</b> | <b>2.02%</b> | <b>2.02%</b> | <b>2.05%</b> | <b>2.05%</b> | <b>2.00%</b> | <b>2.00%</b> | <b>1.91%</b> | <b>1.81%</b> | <b>1.78%</b> |
| IEA/Assets                 | 90.7%        | 91.5%        | 90.3%        | 90.9%        | 90.5%        | 91.3%        | 90.2%        | 90.3%        | 89.8%        | 91.2%        | 90.8%        | 90.8%        |
| Margins (% of avg. Assets) | 1.94%        | 1.94%        | 1.89%        | 1.84%        | 1.83%        | 1.87%        | 1.85%        | 1.81%        | 1.80%        | 1.74%        | 1.64%        | 1.62%        |
| <b>Non-IR contribution</b> | <b>31.6%</b> | <b>31.2%</b> | <b>29.7%</b> | <b>29.5%</b> | <b>33.0%</b> | <b>30.9%</b> | <b>35.8%</b> | <b>29.2%</b> | <b>34.1%</b> | <b>32.6%</b> | <b>34.6%</b> | <b>35.5%</b> |
| Non-IR/Avg. Assets         | 0.89%        | 0.88%        | 0.80%        | 0.78%        | 0.89%        | 0.83%        | 1.04%        | 0.75%        | 0.93%        | 0.84%        | 0.88%        | 0.90%        |
| Revenue/Assets             | 2.80%        | 2.81%        | 2.71%        | 2.63%        | 2.71%        | 2.69%        | 2.90%        | 2.56%        | 2.72%        | 2.58%        | 2.53%        | 2.53%        |
| Cost/Income                | 40.9%        | 40.9%        | 41.0%        | 43.2%        | 41.9%        | 41.8%        | 41.5%        | 45.0%        | 42.6%        | 44.3%        | 45.0%        | 43.6%        |
| C/Assets                   | 1.14%        | 1.15%        | 1.11%        | 1.13%        | 1.14%        | 1.13%        | 1.20%        | 1.15%        | 1.16%        | 1.14%        | 1.14%        | 1.10%        |
| <b>Pre-Provision ROA</b>   | <b>1.66%</b> | <b>1.66%</b> | <b>1.60%</b> | <b>1.49%</b> | <b>1.58%</b> | <b>1.57%</b> | <b>1.70%</b> | <b>1.41%</b> | <b>1.56%</b> | <b>1.44%</b> | <b>1.39%</b> | <b>1.42%</b> |
| LLP/Loans                  | -0.24%       | -0.30%       | -0.19%       | -0.25%       | -0.23%       | -0.24%       | -0.34%       | -0.25%       | -0.34%       | -0.33%       | -0.32%       | -0.35%       |
| Loan/Assets                | 63.2%        | 63.0%        | 62.4%        | 61.5%        | 62.0%        | 63.0%        | 62.5%        | 62.2%        | 63.1%        | 63.6%        | 63.7%        | 63.2%        |
| <b>Operating ROA</b>       | <b>1.50%</b> | <b>1.47%</b> | <b>1.48%</b> | <b>1.34%</b> | <b>1.43%</b> | <b>1.42%</b> | <b>1.48%</b> | <b>1.25%</b> | <b>1.34%</b> | <b>1.23%</b> | <b>1.19%</b> | <b>1.20%</b> |
| Pre-Tax ROA                | 1.54%        | 1.39%        | 1.42%        | 1.39%        | 1.47%        | 1.41%        | 1.48%        | 1.27%        | 1.36%        | 1.22%        | 1.22%        | 1.24%        |
| Tax Rate                   | -17.8%       | -11.9%       | -16.8%       | -20.5%       | -16.6%       | -16.9%       | -15.2%       | -12.8%       | -17.0%       | -19.3%       | -16.0%       | -13.7%       |
| Minorities & Outside Int.  | -0.01%       | -0.03%       | -0.03%       | 0.05%        | -0.02%       | -0.02%       | -0.02%       | 0.04%        | -0.02%       | 0.01%        | 0.01%        | -0.02%       |
| <b>Core ROA</b>            | <b>1.23%</b> | <b>1.17%</b> | <b>1.13%</b> | <b>1.13%</b> | <b>1.19%</b> | <b>1.13%</b> | <b>1.22%</b> | <b>1.12%</b> | <b>1.09%</b> | <b>0.98%</b> | <b>1.02%</b> | <b>1.04%</b> |
| <b>ROA</b>                 | <b>1.18%</b> | <b>1.10%</b> | <b>1.06%</b> | <b>1.06%</b> | <b>1.13%</b> | <b>1.08%</b> | <b>1.20%</b> | <b>1.11%</b> | <b>1.09%</b> | <b>0.98%</b> | <b>1.02%</b> | <b>1.04%</b> |
| <b>RoRWA</b>               | <b>2.29%</b> | <b>2.12%</b> | <b>2.02%</b> | <b>2.02%</b> | <b>2.12%</b> | <b>2.00%</b> | <b>2.36%</b> | <b>2.34%</b> | <b>2.22%</b> | <b>1.96%</b> | <b>2.04%</b> | <b>2.07%</b> |
| Equity/Assets              | 8.33%        | 8.46%        | 8.19%        | 8.19%        | 8.49%        | 8.66%        | 8.54%        | 8.60%        | 8.89%        | 8.95%        | 8.73%        | 8.63%        |
| <b>Core ROE</b>            | <b>14.8%</b> | <b>13.8%</b> | <b>13.8%</b> | <b>13.9%</b> | <b>14.0%</b> | <b>13.1%</b> | <b>14.3%</b> | <b>13.1%</b> | <b>12.3%</b> | <b>10.9%</b> | <b>11.6%</b> | <b>12.0%</b> |
| <b>ROE</b>                 | <b>14.1%</b> | <b>13.0%</b> | <b>12.9%</b> | <b>13.0%</b> | <b>13.3%</b> | <b>12.5%</b> | <b>14.0%</b> | <b>12.9%</b> | <b>12.3%</b> | <b>10.9%</b> | <b>11.6%</b> | <b>12.0%</b> |

Source: Company data, J.P. Morgan estimates.

## Price Performance



|     | YTD    | 1m    | 3m    | 12m    |
|-----|--------|-------|-------|--------|
| Abs | -1.4%  | -1.7% | 3.8%  | 20.0%  |
| Rel | -13.8% | -7.3% | -6.3% | -11.0% |

## Company Data

|                             |             |
|-----------------------------|-------------|
| Shares O/S (mn)             | 1,660       |
| 52-week range (\$\$)        | 38.92-28.79 |
| Market cap (\$ mn)          | 46,247      |
| Exchange rate               | 1.29        |
| Free float (%)              | 86.1%       |
| 3M ADV (mn)                 | 2.82        |
| 3M ADV (\$ mn)              | 78.5        |
| Volatility (90 Day)         | 24          |
| Index                       | FTSTI       |
| BBG ANR (Buy   Hold   Sell) | 9 9 0       |

## Key Metrics (FYE Dec)

| \$S in millions            | FY24A   | FY25E   | FY26E   | FY27E   |
|----------------------------|---------|---------|---------|---------|
| <b>Financial Estimates</b> |         |         |         |         |
| Net interest income        | 9,674   | 9,222   | 8,973   | 9,413   |
| Non interest income        | 4,620   | 4,794   | 5,256   | 5,667   |
| Operating expenses         | (6,074) | (6,147) | (6,244) | (6,369) |
| Adj. PPOP                  | 8,220   | 7,869   | 7,986   | 8,711   |
| Provision for loan losses  | (873)   | (1,150) | (1,094) | (1,157) |
| Adj. PBT                   | 7,199   | 6,812   | 7,016   | 7,685   |
| Adj. net income            | 5,946   | 5,577   | 5,747   | 6,304   |
| Adj. EPS                   | 3.56    | 3.36    | 3.50    | 3.89    |
| BBG EPS                    | 3.59    | 3.53    | 3.72    | 3.99    |
| DPS                        | 2.05    | 1.93    | 1.75    | 1.94    |
| Loans                      | 333,930 | 344,415 | 360,217 | 380,447 |
| Deposits                   | 403,978 | 418,882 | 436,284 | 459,350 |
| Total Assets               | 537,664 | 555,549 | 581,192 | 613,062 |
| <b>Margins and Growth</b>  |         |         |         |         |
| NIM                        | 2.0%    | 1.9%    | 1.8%    | 1.7%    |
| <b>Ratios</b>              |         |         |         |         |
| Loan/ Deposit ratio        | 82.7%   | 82.2%   | 82.6%   | 82.8%   |
| NPL / Loans                | 1.5%    | 1.5%    | 1.6%    | 1.7%    |
| Coverage                   | 75.5%   | 75.1%   | 77.7%   | 80.1%   |
| CET 1                      | 15.5%   | 14.9%   | 14.8%   | 14.8%   |
| Non-int. income/ Income    | 32.3%   | 34.2%   | 36.9%   | 37.6%   |
| Cost/Income                | 42.5%   | 43.9%   | 43.9%   | 42.2%   |
| LLP/Loans                  | (0.3%)  | (0.3%)  | (0.3%)  | (0.3%)  |
| ROA                        | 1.1%    | 1.0%    | 1.0%    | 1.1%    |
| ROE                        | 13.1%   | 11.7%   | 11.7%   | 12.3%   |
| <b>Valuation</b>           |         |         |         |         |
| Dividend yield             | 5.7%    | 5.4%    | 4.9%    | 5.4%    |
| Adj. P/E                   | 10.1    | 10.7    | 10.2    | 9.2     |
| P/ BV                      | 1.27    | 1.23    | 1.17    | 1.10    |

## Summary Investment Thesis and Valuation

### Investment Thesis

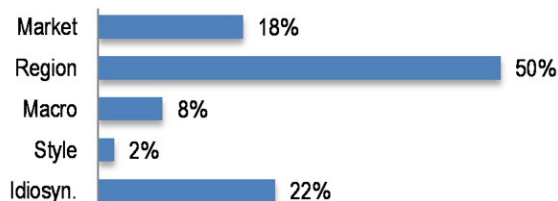
We are N on UOB.

- UOB has delivered RoE with the least volatility among Singapore banks over the past 20 years. We expect that trend to sustain over the medium term. We expect over 12% ROE in the next 2Y, driven by a combination of buyback and a focus on cost management, along with sector-high loan growth (3-5%). However, the shift in rate outlook could lead to lower NIM, which would be a drag.
- Management's commitment to 14-14.5% CET1 by 2027 provides visibility on the capital return. This follows the increase in fully phased-in CET1 to 15.2% following Basel IV implementation, which increased the bank's capacity to return capital. We expect S\$750mn annual buyback over the next 3Y.
- The Citi acquisition is an important driver of RoE as the bank gets through a phase of investments in 2023-24. UOB's acquisition of Citi assets in Thailand, Indonesia, Malaysia and Vietnam added 3% to loans, 5% to AUM, and ~5% to EPS in steady state.

### Valuation

Our Jun-26 PT of S\$36.5 is based on a fair P/B of 1.15x with a normalized RoE of 11.7%, a risk-free rate of 4.5%, a cost of capital of 10.3% and a growth rate of 0.5%.

### Performance Drivers



| Factors                            | 6M Corr | 1Y Corr |
|------------------------------------|---------|---------|
| <b>Market:</b> MSCI Asia Pac ex JP | 0.69    | 0.43    |
| <b>Region:</b> Singapore           | 0.77    | 0.80    |
| <b>Macro:</b>                      |         |         |
| HSI Volatility Index               | -0.45   | -0.50   |
| JPM China A-shares Sentiment       | -0.12   | -0.27   |
| US 10 Year Yield                   | -0.28   | -0.27   |
| <b>Quant Styles:</b>               |         |         |
| Growth                             | -0.11   | 0.25    |
| Momentum                           | -0.03   | 0.21    |
| DivYld                             | 0.17    | -0.16   |

Source: J.P. Morgan Quantitative and Derivatives Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

## Investment Thesis, Valuation and Risks

### United Overseas Bank (UOB) *(Neutral; Price Target: S\$36.50)*

#### Investment Thesis

We are N on UOB.

- UOB has delivered RoE with the least volatility among Singapore banks over the past 20 years. We expect this trend to sustain over the medium term. We expect over 12% ROE in the next 2Y, driven by a combination of buyback and a focus on cost management, along with sector-high loan growth (3-5%). However, the shift in the rate outlook could lead to lower NIM, which would be a drag.
- Management's commitment to 14-14.5% CET1 by 2027 provides visibility on the capital return. This follows the increase in fully phased-in CET1 to 15.2% following Basel IV implementation, which increased the bank's capacity to return capital. We expect S\$750mn annual buyback over next 3Y.
- The Citi acquisition is an important driver of RoE as the bank gets through a phase of investments in 2023-24. UOB's acquisition of Citi assets in Thailand, Indonesia, Malaysia and Vietnam added 3% to loans, 5% to AUM, and ~5% to EPS in steady state.
- Following increased spend in the last 2Y, we expect cost control to be a focus, supporting efficiency improvements.
- We believe valuations appear fair at 10.7x/1.23x 2025E PE/PB, with a 5.4% yield. We expect the ROE trajectory and capital management to drive the stock.

#### Valuation

Our Jun-26 PT of S\$36.5 is based on a fair P/B of 1.15x with a normalized RoE of 11.7%, a risk-free rate of 4.5%, a cost of capital of 10.3% and a growth rate of 0.5%.

#### Risks to Rating and Price Target

Downside risks include worse-than-expected asset quality, growth and NIM disappointment, and lower-than-expected dividends and buyback. Sustained higher operating costs would also be a downside risk. Higher-than-anticipated digital investment spending could be a drag on profitability.

Upside risks include sustained delivery on RoE, cost management post investments in 2023-24, and higher dividend. On PPoP, the bank's ability to manage early wins from its digital investments could lead to positive revisions, and investments coming to fruition earlier than anticipated would pose upside risks to costs.

## United Overseas Bank (UOB): Summary of Financials

| Income Statement                |               |               |               |               |               | Balance Sheet                                   |                |                |                |                |                |
|---------------------------------|---------------|---------------|---------------|---------------|---------------|-------------------------------------------------|----------------|----------------|----------------|----------------|----------------|
|                                 | FY23A         | FY24A         | FY25E         | FY26E         | FY27E         |                                                 | FY23A          | FY24A          | FY25E          | FY26E          | FY27E          |
| Interest income                 | 22,242        | 23,259        | 20,279        | 19,018        | 19,313        | Cash and cash equivalents                       | 0              | 0              | 0              | 0              | 0              |
| Interest expense                | (12,563)      | (13,585)      | (11,057)      | (10,045)      | (9,900)       | Deposits with banks                             | 87,443         | 76,009         | 69,822         | 76,092         | 84,102         |
| <b>Net interest income</b>      | <b>9,679</b>  | <b>9,674</b>  | <b>9,222</b>  | <b>8,973</b>  | <b>9,413</b>  | Net loans                                       | 317,005        | 333,930        | 344,415        | 360,217        | 380,447        |
| Non interest income             | 4,253         | 4,620         | 4,794         | 5,256         | 5,667         | PP&E                                            | 4,508          | 4,852          | 5,143          | 5,400          | 5,616          |
| o/w Fee income                  | 2,235         | 2,395         | 2,658         | 2,871         | 3,043         | Net intangibles                                 | 4,984          | 4,979          | 4,979          | 4,979          | 4,979          |
| o/w Trading income              | 1,690         | 2,003         | 1,803         | 2,019         | 2,221         | LT investments                                  | 90,339         | 96,625         | 108,220        | 110,384        | 112,592        |
| <b>Net revenues</b>             | <b>13,932</b> | <b>14,294</b> | <b>14,016</b> | <b>14,230</b> | <b>15,080</b> | Other assets                                    | 19,241         | 21,269         | 22,971         | 24,119         | 25,325         |
| Non interest expense            | (5,777)       | (6,074)       | (6,147)       | (6,244)       | (6,369)       | <b>Total assets</b>                             | <b>523,520</b> | <b>537,664</b> | <b>555,549</b> | <b>581,192</b> | <b>613,062</b> |
| o/w Employee costs              | (3,553)       | (3,699)       | (3,754)       | (3,811)       | (3,887)       | Interest earning assets                         | 498,932        | 510,465        | 526,462        | 551,247        | 582,272        |
| <b>Pre-Prov. Profits</b>        | <b>8,155</b>  | <b>8,220</b>  | <b>7,869</b>  | <b>7,986</b>  | <b>8,711</b>  | Deposits                                        | 385,469        | 403,978        | 418,882        | 436,284        | 459,350        |
| Provisions                      | (784)         | (873)         | (1,150)       | (1,094)       | (1,157)       | Borrowings                                      | 68,651         | 61,102         | 60,780         | 65,550         | 70,210         |
| <b>Adj. PBT</b>                 | <b>6,953</b>  | <b>7,199</b>  | <b>6,812</b>  | <b>7,016</b>  | <b>7,685</b>  | Other liabilities                               | 25,680         | 25,375         | 27,638         | 29,131         | 30,714         |
| Income taxes                    | (1,228)       | (1,140)       | (1,124)       | (1,158)       | (1,268)       | <b>Total liabilities</b>                        | <b>479,800</b> | <b>490,455</b> | <b>507,299</b> | <b>530,965</b> | <b>560,274</b> |
| Minority interest               | (14)          | (14)          | (13)          | (13)          | (15)          | Shareholder equity                              | 43,478         | 46,985         | 48,026         | 50,003         | 52,563         |
| <b>Adj. Net profit</b>          | <b>5,615</b>  | <b>5,946</b>  | <b>5,577</b>  | <b>5,747</b>  | <b>6,304</b>  | Minority interests                              | 242            | 224            | 224            | 224            | 224            |
| PPOP per share                  | 4.87          | 4.92          | 4.74          | 4.87          | 5.37          | <b>Total liabilities and Shareholder equity</b> | <b>523,520</b> | <b>537,664</b> | <b>555,549</b> | <b>581,192</b> | <b>613,062</b> |
| Reported EPS                    | 3.36          | 3.56          | 3.36          | 3.50          | 3.89          | Interest bearing liabilities                    | 454,120        | 465,080        | 479,661        | 501,834        | 529,560        |
| <b>Adj. EPS</b>                 | <b>3.36</b>   | <b>3.56</b>   | <b>3.36</b>   | <b>3.50</b>   | <b>3.89</b>   | Book Value Per Share                            | 26.00          | 28.11          | 29.08          | 30.66          | 32.63          |
| <b>DPS</b>                      | <b>1.70</b>   | <b>2.05</b>   | <b>1.93</b>   | <b>1.75</b>   | <b>1.94</b>   | Tangible Book Value Per Share                   | 25.85          | 27.98          | 28.95          | 30.52          | 32.49          |
| Diluted shares outstanding      | 1,674         | 1,672         | 1,661         | 1,641         | 1,621         |                                                 |                |                |                |                |                |
| <b>Balance Sheet Gearing</b>    | <b>FY23A</b>  | <b>FY24A</b>  | <b>FY25E</b>  | <b>FY26E</b>  | <b>FY27E</b>  | <b>Asset Quality/Capital</b>                    | <b>FY23A</b>   | <b>FY24A</b>   | <b>FY25E</b>   | <b>FY26E</b>   | <b>FY27E</b>   |
| Loans/Deposits                  | 82.2%         | 82.7%         | 82.2%         | 82.6%         | 82.8%         | Loan loss reserves/Loans                        | (1.3%)         | (1.2%)         | (1.1%)         | (1.2%)         | (1.3%)         |
| Investment/Assets               | 15.9%         | 17.6%         | 18.7%         | 19.2%         | 18.7%         | NPLs/Loans                                      | 1.5%           | 1.5%           | 1.5%           | 1.6%           | 1.7%           |
| Loan/Assets                     | 62.3%         | 62.1%         | 62.8%         | 62.7%         | 62.8%         | Loan loss reserves/NPLs                         | 85.1%          | 80.2%          | 75.3%          | 76.5%          | 79.0%          |
| Customer deposits/Liabilities   | 80.3%         | 82.4%         | 82.6%         | 82.2%         | 82.0%         | NPL y/y growth                                  | (3.8%)         | 6.0%           | 3.3%           | 9.8%           | 9.3%           |
| LT debt/Liabilities             | 14.2%         | 13.4%         | 12.2%         | 12.2%         | 12.4%         | Tier 1 ratio                                    | 14.4%          | 16.6%          | 14.9%          | 14.8%          | 14.8%          |
|                                 |               |               |               |               |               | CAR                                             | 16.6%          | 18.2%          | 16.4%          | 16.2%          | 16.2%          |
| <b>Ratio Analysis (%)</b>       | <b>FY23A</b>  | <b>FY24A</b>  | <b>FY25E</b>  | <b>FY26E</b>  | <b>FY27E</b>  | <b>Ratio Analysis (%)</b>                       | <b>FY23A</b>   | <b>FY24A</b>   | <b>FY25E</b>   | <b>FY26E</b>   | <b>FY27E</b>   |
| Net interest margin             | 2.1%          | 2.0%          | 1.9%          | 1.8%          | 1.7%          | Return on equity (ROE)                          | 13.4%          | 13.1%          | 11.7%          | 11.7%          | 12.3%          |
| Non interest income/Net revenue | 30.5%         | 32.3%         | 34.2%         | 36.9%         | 37.6%         | Return on assets (ROA)                          | 1.1%           | 1.1%           | 1.0%           | 1.0%           | 1.1%           |
| Non interest income/Avg. Assets | 0.8%          | 0.9%          | 0.9%          | 0.9%          | 0.9%          | Operating ROA                                   | 1.4%           | 1.4%           | 1.2%           | 1.2%           | 1.3%           |
| Efficiency ratio                | 41.5%         | 42.5%         | 43.9%         | 43.9%         | 42.2%         | Pre-Tax ROA                                     | 1.4%           | 1.4%           | 1.2%           | 1.2%           | 1.3%           |
| Leverage ratio                  | 7.8%          | 8.1%          | 7.6%          | 7.6%          | 7.7%          | Pre-Provision ROA                               | 1.6%           | 1.5%           | 1.4%           | 1.4%           | 1.5%           |
| Revenue/Assets                  | 2.7%          | 2.7%          | 2.6%          | 2.5%          | 2.5%          | Tax rate                                        | 17.7%          | 15.8%          | 16.5%          | 16.5%          | 16.5%          |
| RORWA                           | 2.1%          | 2.2%          | 2.1%          | 2.0%          | 2.1%          |                                                 |                |                |                |                |                |
| RWA                             | 275,930       | 259,835       | 277,775       | 293,502       | 309,596       | Net loans y/y growth                            | 0.5%           | 5.3%           | 3.1%           | 4.6%           | 5.6%           |
| Avg. RWA                        | 267,514       | 267,883       | 268,805       | 285,638       | 301,549       | Assets y/y growth                               | 3.8%           | 2.7%           | 3.3%           | 4.6%           | 5.5%           |
| Avg. IEA                        | 462,994       | 476,735       | 492,540       | 511,912       | 538,422       | RWA y/y growth                                  | 6.5%           | (5.8%)         | 6.9%           | 5.7%           | 5.5%           |
| Gross Loans                     | 321,150       | 337,831       | 348,420       | 364,770       | 385,578       | Deposits y/y growth                             | 4.6%           | 4.8%           | 3.7%           | 4.2%           | 5.3%           |
| Avg. IBL                        | 434,135       | 434,135       | 446,198       | 463,557       | 487,124       | Net interest income y/y growth                  | 16.0%          | (0.1%)         | (4.7%)         | (2.7%)         | 4.9%           |
| LLR                             | (4,145)       | (3,901)       | (4,006)       | (4,553)       | (5,131)       | Revenues y/y growth                             | 20.4%          | 2.6%           | (1.9%)         | 1.5%           | 6.0%           |
| NPLs                            | 4,870         | 5,164         | 5,333         | 5,856         | 6,403         | Adj. EPS y/y growth                             | 25.2%          | 6.0%           | (5.6%)         | 4.3%           | 11.1%          |
| P/BV (x)                        | 1.38          | 1.27          | 1.23          | 1.17          | 1.10          | BVPS y/y growth                                 | 7.3%           | 8.1%           | 3.5%           | 5.4%           | 6.4%           |
| Adj. P/E (x)                    | 10.7          | 10.1          | 10.7          | 10.2          | 9.2           | IE assets/Assets                                | 90.1%          | 89.8%          | 90.1%          | 90.1%          | 90.2%          |
| Dividend yield                  | 4.7%          | 5.7%          | 5.4%          | 4.9%          | 5.4%          | Margins (as % of Avg. Assets)                   | 1.8%           | 1.7%           | 1.6%           | 1.5%           | 1.5%           |
| Dividend payout                 | 50.7%         | 57.6%         | 57.4%         | 50.0%         | 50.0%         | LLP/Loans                                       | (0.2%)         | (0.3%)         | (0.3%)         | (0.3%)         | (0.3%)         |
|                                 |               |               |               |               |               | Equity/Assets                                   | 8.2%           | 8.5%           | 8.7%           | 8.6%           | 8.6%           |
|                                 |               |               |               |               |               | Cost/Assets                                     | 1.1%           | 1.1%           | 1.1%           | 1.1%           | 1.1%           |
|                                 |               |               |               |               |               | Assets/Equity                                   | 12.2           | 11.7           | 11.5           | 11.6           | 11.6           |

Source: Company reports and J.P. Morgan estimates.

Note: \$S in millions (except per-share data). Fiscal year ends Dec

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### DBS Group Holdings (DBSM.SI, DBS SP) Price Chart



| Date      | Rating | Price (\$) | Price Target (\$) |
|-----------|--------|------------|-------------------|
| 17-Aug-22 | OW     | 29.37      | 33                |
| 23-Nov-22 | N      | 32.34      | 34                |
| 09-Mar-23 | N      | 30.64      | 31                |
| 30-Mar-23 | UW     | 30.54      | 27                |
| 05-Oct-23 | UW     | 30.20      | 28                |
| 09-Dec-23 | UW     | 28.73      | 27.5              |
| 13-Mar-24 | N      | 30.46      | 30                |
| 03-Jul-24 | OW     | 37.10      | 41                |
| 06-Oct-24 | OW     | 38.04      | 42                |
| 10-Nov-24 | OW     | 42.40      | 50                |
| 11-Feb-25 | OW     | 45.38      | 51                |
| 23-Mar-25 | OW     | 45.31      | 49                |
| 21-May-25 | N      | 44.38      | 47                |
| 13-Jul-25 | N      | 45.99      | 48                |

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends. Initiated coverage Dec 11, 2001. All share prices are as of market close on the previous business day.

### OCBC Bank (OCBC.SI, OCBC SP) Price Chart



| Date      | Rating | Price (\$) | Price Target (\$) |
|-----------|--------|------------|-------------------|
| 01-Nov-22 | N      | 12.13      | 13                |
| 06-Jan-23 | OW     | 12.44      | 14                |
| 09-Mar-23 | OW     | 12.55      | 13.5              |
| 30-Mar-23 | UW     | 12.53      | 11.5              |
| 13-Mar-24 | UW     | 13.09      | 12.5              |
| 10-May-24 | NR     | 13.91      | --                |
| 13-Jul-25 | N      | 16.89      | 18                |

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends. Initiated coverage Feb 24, 2000. All share prices are as of market close on the previous business day.

### United Overseas Bank (UOB) (UOBH.SI, UOB SP) Price Chart



| Date      | Rating | Price (\$) | Price Target (\$) |
|-----------|--------|------------|-------------------|
| 30-Mar-23 | N      | 29.95      | 28.5              |
| 05-Oct-23 | N      | 28.07      | 28                |
| 09-Dec-23 | N      | 27.58      | 27                |
| 13-Mar-24 | N      | 28.28      | 30                |
| 03-Jul-24 | N      | 31.65      | 32.5              |
| 06-Oct-24 | N      | 31.86      | 34                |
| 10-Nov-24 | OW     | 35.69      | 41                |
| 14-Jan-25 | OW     | 36.80      | 43                |
| 23-Mar-25 | N      | 37.95      | 40                |
| 21-May-25 | N      | 35.40      | 37                |
| 13-Jul-25 | N      | 36.86      | 38                |

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends. Initiated coverage Sep 24, 2002. All share prices are as of market close on the previous business day.

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